Control Through Configuration

Management Control Systems for Performance and Sustainability Compliance in Global Supply Chains

Janet Rasaei

Faculty of Arts and Social Sciences

Business Administration

DOCTORAL THESIS | Karlstad University Studies | 2026:42

Control Through Configuration

Management Control Systems for Performance and Sustainability Compliance in Global Supply Chains

Janet Rasaei

DOCTORAL THESIS | Karlstad University Studies | 2026:42

Control Through Configuration
- Management Control Systems for Performance and Sustainability Compliance in Global Supply Chains

Janet Rasaei

DOCTORAL THESIS

Karlstad University Studies | 2026:42

urn:nbn:se:kau:diva-111911

ISSN 1403-8099

ISBN 978-91-7867-741-2 (print)

ISBN 978-91-7867-742-9 (pdf)

https://doi.org/10.59217/djmc2952

© The author. This work is licensed under CC BY 4.0 (https://creativecommons.org/licenses/by/4.0/), unless otherwise stated.

Distribution:
Karlstad University
Faculty of Arts and Social Sciences
Karlstad Business School
SE-651 88 Karlstad, Sweden
+46 54 700 10 00

Print: Universitetstryckeriet, Karlstad 2026

WWW.KAU.SE

Abstract

This dissertation examines how management control systems (MCS) packages are configured and, when required, reconfigured in global supply chains, with particular attention to offshoring performance and sustainability compliance. Drawing on transaction cost, social exchange, contingency, and institutional theories, it argues that control in cross-border inter-organizational relationships is better understood through the configuration and reconfiguration of MCS packages than through isolated control mechanisms or a universally applicable control design. The dissertation consists of four articles and applies a multi-method research design. A structured synthesis of prior research develops a lifecycle-based conceptual framework explaining how MCS packages may be configured and reconfigured in relation to contextual factors such as goodwill trust, cultural understanding, and relationship continuity. A fuzzy-set Qualitative Comparative Analysis (fsQCA) study of Swedish client firms identifies two configurations associated with offshoring success and four with offshoring failure, demonstrating conjunctural causation, equifinality, and causal asymmetry. A partial least squares structural equation modeling (PLS-SEM) study of Dutch client firms distinguishes between two types of governance costs—control costs and coordination costs—and shows that formal controls, task complexity, and task interdependence are significantly associated with governance costs, while aggregate cultural distance is not robustly associated with either type. A qualitative study of German multinational corporations subject to binding supply chain due diligence regulation shows that sustainability compliance prompts firms to reconfigure MCS packages. The dissertation contributes to management control research by developing a configurational and adaptive understanding of MCS packages in global supply chains.

Keywords: Management Control Systems (MCS); MCS Packages; Supply Chain Management; Configurational Approach; Offshoring Performance; Sustainability Compliance; Global Supply Chains

Acknowledgements

I would like to begin by thanking Karlstad University for providing me with the opportunity and academic environment to pursue and complete this degree. I am grateful to Sven Siverbo and Johan Lorentzon for the guidance and support I received under their supervision. I also deeply appreciate the professionals who participated in my research and supported my work. I gratefully acknowledge the reviewers of my published articles for their thoughtful comments and for the knowledge I gained during the revision process.

My special appreciation goes to the colleagues with whom I interacted and collaborated throughout the program. In particular, I extend my gratitude to Alexandre Sukhov. Alex, I'm very glad that I attended your fsQCA course during my first year, through which I became fascinated by the method. Since then, you have generously answered my many academic questions and supported me in numerous ways. I also greatly value our collaboration on an article. Samuel Petros Sebhatu, I am grateful for the opportunity to have collaborated with you in teaching and for your continued support. Erik Wästlund, thank you for your guidance on statistical matters and for your encouraging words whenever I stopped by your office. Claes Högström, thank you for the guidance and support you provided during your time as deputy head of department. Charlotta Andersson and Britt-Marie Shandrew, thank you for your encouragement before each seminar and for helping everything run smoothly.

I wish to thank all the mentors, coaches, and friends who have helped me become who I am—those who care about me, support me, and want the best for me. In particular, I express my gratitude to Paul B. W. Miller, Sandhiya Goolaup, Manon Peters, Gabriela Steinemann, Soheila Nikseresht, Mahin Masoud, Pedram Ebrahimian, Silvia Hu, Sina Kamali, Sofia Alamino, Mushfeq Rahman, Mohibul Islam, Amna Bashir, Aynaz Monazzam, Judith Madlener, Hira Shahid, Olga Krivulina, Amir Salehi, Iona Douglas, Sulaimon Imamov, Klaus Mathwig, Ayeh Mahjoubi, Faezeh Javadzadeh, Farzaneh Karegar, Mozhgan Hashemzehi, Samieh Eskandari, Pritam Padhi, Anna Hübinette, and Amanda Nordin.

Paul, I am especially grateful to you. Your guidance, care, encouragement, and unwavering support over the years have been truly valuable.

Most of all, I thank my family, whose presence and love mean a lot to me. I am particularly grateful to my parents, Mady and Fred, to whom I dedicate this work.

With love, light, and prayer,
Janet

Appended Articles

Article 1
Rasaei, J. (2025). Conceptual Framework for Offshoring Performance Through Management Control Systems, Trust and Culture. *Australian Accounting Review*, *35(2),* 160-186. https://doi.org/10.1111/auar.70000

Article 2
Rasaei, J., & Sukhov, A. The Configurational Logic of Management Control: Exploring Pathways to Offshoring Performance. (under review)

Article 3
Rasaei, J. Governance Costs in Offshore Outsourcing: The Role of Cultural Distance. (in manuscript)

Article 4
Rasaei, J. (2026). Sustainability and Regulatory Compliance in Management Control Systems: Insights from Germany's Supply Chain Due Diligence Act. *Sustainability Accounting, Management and Policy Journal, 17 (7)*, 1–25. https://doi.org/10.1108/SAMPJ-01-2025-0126

Table of Contents

1. Introduction 1

1.1 Problem Background 1

1.2 Problem Discussion 3

1.3 Research Purpose 7

1.4 Research Contribution 8

1.5 Structure of the Dissertation 8

2. Theoretical Framework 9

2.1 Transaction Cost Theory 9

2.2 Social Exchange Theory 11

2.3 Contingency Theory 12

2.4 Institutional Theory 14

2.5 Theoretical Synthesis 15

3. Literature Review and Conceptual Foundations 18

3.1 Offshoring as a Governance Challenge 18

3.2 Management Control Systems in Inter-organizational Relationships 20

3.3 MCS Packages and a Configurational Perspective 22

3.4 Contextual Contingencies Shaping MCS Package Configuration 23

3.4.1 Trust 23

3.4.2 Culture 24

3.4.3 Relationship Continuity 26

3.5 Offshoring Performance and Sustainability Compliance 27

3.5.1 Performance 28

3.5.2 Sustainability Compliance 29

4. Methodology 32

4.1 Ontology and Epistemology 32

4.1.1 Ontological Position: Critical Realism 32

4.1.2 Epistemological Position: Critical Realist Epistemology 36

4.2 Research Approach and Study Design 38

4.3 Data Collection, Analysis, and Research Reasoning 44

4.3.1 Data Collection 44

4.3.2 Analytical Approaches and Techniques 45
4.3.3 Evidence Integration and Scope of Inference 47
4.4 Research Quality and Ethical Considerations 48
5. Summary of Appended Articles 51
5.1 Article 1 51
5.2 Article 2 52
5.3 Article 3 53
5.4 Article 4 54
6. Findings 57
6.1 Configuring MCS Packages for Offshoring 57
6.2 Contextual Factors: Trust, Culture, and Relationship Continuity 59
6.3 Governance Costs in Offshoring 61
6.4 Reconfiguring MCS Packages Through Relationship Development and Binding Supply Chain Due Diligence Regulation 62
7. Discussion and Conclusion 65
7.1 MCS Package Configuration in Offshoring 65
7.2 The Role of Contextual Factors in Offshoring 67
7.2.1 Trust 67
7.2.2 Culture 69
7.2.3 Relationship Continuity 70
7.3 Formal Control and Governance Costs in Offshoring 71
7.4 Two Bases of MCS Package Reconfiguration 73
7.5 Management Control under Binding Supply Chain Due Diligence Regulation 74
7.6 Implications for Practice 76
7.7 Limitations and Future Research Directions 80
7.8 Concluding Remarks 82
References 83

List of Tables

Table 1. Theoretical lenses informing MCS package configuration and reconfiguration for performance and sustainability compliance in global supply chains. 17
Table 2. Overview of the methodological approach, unit of analysis, level of analysis, and unit of observation for each article. 43
Table 3. Alignment of the appended articles with the dissertation's research purpose and outcome domains. 56

1. Introduction

1.1 Problem Background

Global supply chains increasingly depend on cross-border arrangements through which firms relocate, outsource, or coordinate activities across organizational and national boundaries (Contractor et al., 2010; Karlsen et al., 2021; Lahiri et al., 2022; Mihalache & Mihalache, 2016). Outsourcing has long been used to reduce costs, access specialized expertise, and allow firms to concentrate managerial attention on core activities (Baraldi et al., 2014; Gilley & Rasheed, 2000; Lahiri et al., 2022). Such arrangements may generate efficiency gains through economies of scale and supplier[1] specialization, with potential benefits for both operational and strategic performance (Babin et al., 2017; Könning et al., 2021).

In recent decades, globalization has extended outsourcing across national borders, giving rise to offshoring, commonly defined as the relocation of business activities to another country, either within the firm, referred to as captive offshoring, or through independent suppliers, referred to as offshore outsourcing (Karlsen et al., 2021; Mihalache & Mihalache, 2016; Mukherjee et al., 2023). By tapping into geographically distributed labor pools, firms can obtain cost advantages, technical capabilities, specialized knowledge, and round-the-clock work processes (Contractor et al., 2010; Manning et al., 2015). Offshoring has thus become an important component of international business strategy in sectors such as information technology, manufacturing, finance, and R&D (Jayaraman & Liu, 2019; Kang et al., 2012; Koenig et al., 2007; Könning et al., 2021; Miranda & Kavan, 2005).

However, the strategic promise of offshoring is not automatically realized. Prior research and practitioner evidence indicate that many offshoring

[1]In outsourcing relationships, the client (also referred to as the buyer) is the firm that contracts with a supplier to obtain a product or service. The supplier may also be referred to in the literature as the vendor, seller, or provider. In this dissertation, the terms client and supplier are used for consistency.

initiatives underdeliver relative to initial expectations (Aron & Singh, 2005; Dibbern et al., 2008; Forbes, 2024; KPMG, 2022; Larsen et al., 2013). One explanation is the transaction hazards inherent in cross-border inter-organizational exchange. Opportunism risk, information asymmetry, trust deficits, contractual incompleteness, and cultural differences between client and supplier firms can increase the effort required to specify expectations, monitor performance, transfer knowledge, and coordinate interdependent work across organizational and national boundaries (Aron & Singh, 2005; Dibbern et al., 2008; Handley & Angst, 2015; Handley & Benton, 2013; Karlsen et al., 2021; Williamson, 1985). One consequence of these hazards is that anticipated benefits may be eroded by governance costs, understood as the recurring time, effort, and managerial resources devoted to governing the relationship beyond supplier fees, and often underestimated at the outset (Dibbern et al., 2008; Handley & Benton, 2013; Larsen et al., 2013).

The governance challenge is further compounded by a changing regulatory environment. Global supply chains are increasingly subject to binding environmental, social, and governance (ESG) regulation that extends corporate accountability across supply chain tiers. For instance, in Germany, the Supply Chain Due Diligence Act (LkSG) establishes corporate due diligence obligations concerning human rights and certain environmental risks across supply chains, with enforcement overseen by BAFA (*BAFA - Overview*, n.d.). At the EU level, the Corporate Sustainability Due Diligence Directive has been adopted, strengthening due diligence requirements for in-scope firms and embedding sustainability expectations more firmly in corporate governance (*Directive (EU) 2024/1760*, n.d.).

Together, these developments signal a shift from predominantly voluntary corporate social responsibility (CSR) initiatives toward enforceable legal obligations, thereby intensifying coercive institutional pressures on supply chain control and accountability (*BAFA - Overview*, n.d.; DiMaggio & Powell, 1983; Scott, 2005; *Directive (EU) 2024/1760*, n.d.). This regulatory shift expands what firms must monitor, document, and

demonstrate across supply chain tiers and national boundaries, adding a compliance dimension to governance that sits alongside the operational challenges of governing cross-border supplier relationships.

1.2 Problem Discussion

Persistent governance challenges and growing regulatory pressure from supply chain due diligence requirements underscore the relevance of management control systems (MCS) in cross-border inter-organizational relationships such as offshoring. MCS refer to the mechanisms through which managers guide, monitor, evaluate, and coordinate behavior in pursuit of organizational objectives (Otley, 1999; Simons, 1994). In offshoring, MCS provide mechanisms through which firms can address governance hazards, align geographically dispersed operations with strategic objectives, and respond to relational and regulatory demands in global supply chain management (Beusch et al., 2022; Ditillo & Caglio, 2011; Jayaraman & Liu, 2019; Stratman, 2008).

This dissertation conceptualizes MCS as packages of interrelated control mechanisms that are used in combination in cross-border inter-organizational relationships. The package perspective recognizes that the relevance of individual control mechanisms may depend on how they are combined and used alongside other controls (Malmi & Brown, 2008). Although complementarities may exist, the package concept adopted in this dissertation does not require a strong system claim based on interaction effects; instead, it directs attention to the combination and alignment of control mechanisms within an MCS package (Grabner & Moers, 2013), here analyzed through the distinction between formal and informal controls. Formal controls refer to codified mechanisms such as contracts, performance measurement, reporting, and monitoring routines. Informal controls refer to shared norms, beliefs, values, and socialization processes that shape behavior and cooperation under uncertainty (Goebel & Weißenberger, 2017; Ouchi, 1979). Accordingly, formal controls across organizational boundaries specify expectations and

responsibilities and may be complemented by informal controls that support cooperation and mutual adjustment in day-to-day collaboration (Dekker, 2004; Poppo & Zenger, 2002).

Research on offshoring governance has made substantial progress in explaining why cross-border inter-organizational relationships are difficult to manage. From a transaction cost perspective, offshoring relationships are exposed to governance hazards rooted in bounded rationality, contractual incompleteness, information asymmetry, and opportunism risk, all of which increase the need for safeguarding, monitoring, and coordination when activities cross organizational and national boundaries (Dibbern et al., 2008; Handley & Benton, 2013; Williamson, 1985). Prior research also shows that cultural differences may intensify interpretive difficulties and behavioral uncertainty, making it more difficult for client and supplier firms to align expectations, transfer knowledge, and evaluate performance (Handley & Angst, 2015; Hofstede, 2001; Kogut & Singh, 1988). Trust between client and supplier firms further influences the conditions under which control operates because trust may reduce perceived behavioral uncertainty and facilitate adaptive cooperation under incomplete contracting (Carson et al., 2006; Das & Teng, 2001; Sako, 1992). In parallel, sustainability MCS research shows that control mechanisms can support the integration, measurement, and reporting of sustainability performance within organizations, while related supply chain research examines how sustainability governance extends across organizational boundaries (Beusch et al., 2022; Gond et al., 2012; Maas et al., 2016; Wang, 2023).

Despite these insights, four issues remain insufficiently understood. First, prior research provides limited insight into how formal and informal controls operate as interrelated elements of an MCS package over the lifecycle of offshoring relationships. The MCS package literature emphasizes that organizations use combinations of controls rather than isolated mechanisms, and that the effects of individual controls may depend partly on how they operate alongside other controls (Bedford & Malmi, 2015; Malmi & Brown, 2008). However, offshoring relationships

are dynamic. Uncertainty and trust may change as relationships develop. Existing research has identified important control mechanisms, but it offers limited systematic insight into how MCS packages may be initially configured, how the relative emphasis placed on formal and informal controls may change as relationships mature, and how these packages may be reconfigured as relationship conditions evolve. A more dynamic understanding of MCS packages in offshoring relationships is therefore needed.

Second, empirical evidence remains limited regarding which configurations of controls and contextual factors are associated with offshoring performance. Much prior research has examined the separate effects of individual controls or contextual factors, often through net-effect approaches that assume linear and independent relationships. Configurational logic, by contrast, suggests that outcomes may be associated with conjunctions of conditions rather than with isolated factors. It also recognizes equifinality, whereby multiple distinct configurations may be associated with the same outcomes (Fiss, 2011; Ragin, 2008). In offshoring, this means that formal and informal controls should be examined as interrelated elements of MCS packages, while contextual factors such as trust, culture, and relationship continuity should be considered alongside those controls when assessing their association with performance. This gap is important because it remains unclear whether associations identified for individual controls remain when those controls are examined within configurations that also include other controls and relevant contextual factors.

Third, the factors associated with governance costs during relationship execution remain insufficiently specified. Governance costs comprise two distinguishable dimensions: control costs, the effort required to specify expectations, develop and maintain contractual agreements, and monitor and verify supplier performance against agreed standards; and coordination costs, the effort required to align activities and integrate day-to-day work across organizational and national boundaries (Dibbern et al., 2008; Handley & Benton, 2013). Cultural distance has often been

invoked as an explanation for elevated governance costs in offshore outsourcing because cultural differences may increase interpretive ambiguity and behavioral uncertainty (Hofstede, 2001; Kogut & Singh, 1988; Williamson, 1996). However, empirical evidence concerning this relationship is mixed, and cultural distance is not consistently associated with higher governance costs across settings (Handley & Benton, 2013). This raises the possibility that aggregate cultural distance[2] may have limited additional explanatory power once more proximate execution-level factors, including formal controls, informal controls, task complexity, task interdependence, and trust, are considered. These factors may be more directly associated with the effort required to specify expectations, monitor performance, coordinate activities, and resolve misalignments during relationship execution. Distinguishing among these factors matters because governance costs can undermine the efficiency benefits expected from offshoring.

Fourth, little is known about how MCS packages are adapted when binding supply chain due diligence regulation expands the scope of what governance must accomplish. Prior research on sustainability MCS has often focused on voluntary CSR initiatives, sustainability integration and reporting, stakeholder communication, and the risk of symbolic or reputational responses (Arjaliès & Mundy, 2013; Beusch et al., 2022; Palea et al., 2025). Recent regulatory developments, including Germany's Supply Chain Due Diligence Act and the EU Corporate Sustainability Due Diligence Directive, mark a shift toward mandatory due diligence and accountability. These developments create additional control demands. Firms must not only govern supplier performance but also document risk assessments, assign accountability, monitor due diligence processes, support escalation, and generate auditable evidence (*BAFA - Overview*, n.d.; *Directive (EU) 2024/1760*, n.d.). Systematic knowledge remains limited regarding how binding supply chain due diligence regulation is

[2]Aggregate cultural distance refers to a composite index that combines differences across multiple cultural dimensions (e.g., Hofstede, 2001; Kogut & Singh, 1988) into a single distance score, as distinct from differences examined on individual cultural dimensions.

translated into specific MCS practices and how these adaptations vary across organizational structures and supply chain complexity.

These four gaps converge on a common overarching issue. MCS packages in global supply chains serve a dual role. They are expected to support offshoring performance and enable sustainability compliance through accountability arrangements and verifiable evidence generation. Examining this dual role requires attention to the configurations associated with offshoring performance, the governance costs associated with relationship execution, and the adaptations required for sustainability compliance.

1.3 Research Purpose

The purpose of this dissertation is therefore to develop a better understanding of MCS packages in global supply chains, with a particular focus on offshoring. Specifically, the dissertation examines how MCS packages are configured and, when required, reconfigured in relation to two outcome domains—offshoring performance and sustainability compliance. Here, configuration refers to the combination and alignment of interrelated control mechanisms within an MCS package in a manner that reflects governance priorities and contextual contingencies (Bedford & Malmi, 2015; Malmi & Brown, 2008). Reconfiguration refers to adaptive changes in that package as relationship conditions evolve or in response to binding supply chain due diligence regulation, including changes in formalization, monitoring scope, and accountability arrangements (Otley, 2016; van der Meer-Kooistra & Scapens, 2008). Across the dissertation, trust, culture, and relationship continuity are treated as contextual factors, while binding supply chain due diligence regulation is treated as a coercive institutional pressure that requires firms within its scope to demonstrate compliance, maintain legitimacy, and avoid sanctions.

1.4 Research Contribution

Through this examination, the dissertation makes four contributions. First, it develops a dynamic understanding of MCS package configuration by explaining how the relative emphasis placed on formal and informal controls may shift as offshoring relationships develop. Second, it shows that offshoring performance is associated with configurations of controls and contextual factors rather than with individual control mechanisms considered in isolation. The identification of multiple configurations associated with offshoring success supports the view that there is no universally applicable control design for offshoring relationships. Third, the dissertation distinguishes between control costs and coordination costs and shows that these costs are associated with more proximate execution-level factors, including formal controls and task characteristics, whereas aggregate cultural distance is not robustly associated with either type of governance cost. Fourth, it explains how binding supply chain due diligence regulation is translated into adaptations across control types to support documentation, monitoring, traceability, accountability, escalation, and evidence generation across supply chain tiers. Collectively, these contributions address gaps in prior research concerning how MCS packages are configured and reconfigured in relation to performance and sustainability compliance across organizational and national boundaries.

1.5 Structure of the Dissertation

The remainder of this dissertation is structured as follows. Chapter 2 develops the theoretical framework. Chapter 3 reviews the relevant literature on offshoring governance, management control systems, trust, culture, relationship continuity, governance costs, performance, and sustainability. Chapter 4 presents the methodological rationale and research design across the four appended articles. Chapter 5 summarizes these articles. Chapter 6 presents the findings. Chapter 7 concludes the dissertation by discussing its contribution, outlining practical

implications, and identifying limitations and directions for future research.

2. Theoretical Framework

Cross-border supplier relationships involve interdependencies that expose firms to governance hazards, including opportunism and information asymmetry. Trust deficits, cultural differences, and task characteristics may further complicate coordination and collaboration, with implications for performance. To explain how MCS packages are configured and, when required, reconfigured under these conditions, this dissertation draws on transaction cost theory (TCT), social exchange theory (SET), and contingency theory (CT), which provide complementary theoretical lenses for understanding governance and control in cross-border inter-organizational relationships (Halldorsson et al., 2007; Handley & Angst, 2015; Jayaraman & Liu, 2019; Könning et al., 2021). In addition, binding supply chain due diligence regulation expands the scope of control by imposing requirements concerning documentation, traceability, accountability, and escalation across supply chain tiers. This dissertation therefore draws on institutional theory (IT) to explain how coercive regulatory pressures may prompt firms to reconfigure their MCS packages in response to these requirements (*BMAS - Lieferkettengesetz*, n.d.; DiMaggio & Powell, 1983).

2.1 Transaction Cost Theory

TCT is a widely used theoretical framework for explaining why firms exist, how firm boundaries are determined, and how transactions are governed across organizational boundaries (Coase, 1937; Williamson, 1979). In outsourcing, TCT explains firms' decisions to perform activities internally or delegate them to external suppliers by comparing the costs of alternative governance arrangements (Williamson, 1996). Its core premise is that firms seek governance arrangements that minimize

transaction costs under conditions of bounded rationality, contractual incompleteness, and the potential for opportunism. The suitability of a given governance arrangement depends in part on transaction characteristics, namely asset specificity, transaction frequency, and uncertainty. These characteristics shape governance hazards and the corresponding need for safeguarding, monitoring, and coordination (Williamson, 1979, 1996).

In offshore outsourcing relationships, transaction hazards may be heightened because geographical distance and limited observability exacerbate information asymmetry and the risk of opportunism, as suppliers typically possess superior knowledge of their processes and service delivery (Handley & Benton, 2012; Steinle et al., 2014). Opportunism, defined as "self-interest seeking with guile" (Williamson, 1996, p. 152), may arise when suppliers renege on agreements, withhold critical information, exploit contractual gaps, or underperform during contract execution (Sabherwal, 2003; Skowronski et al., 2022; Steinle et al., 2014). Information asymmetry further increases the potential for opportunistic behavior by limiting the client's ability to verify supplier actions and assess whether reported performance meets contractual and operational expectations (Steinle et al., 2014; Williamson, 1985).

These governance hazards make effective control particularly important in offshore outsourcing relationships, where geographical distance and contractual complexities may increase the effort required to coordinate activities and monitor supplier performance. To mitigate these hazards, firms rely on formal controls within MCS packages to specify expectations, strengthen accountability, and reduce behavioral uncertainty (van der Merwe et al., 2017). Contractual safeguards and performance monitoring can constrain supplier opportunism by aligning the intensity of control with transaction hazards (Wang et al., 2019). However, designing and operating these controls requires managerial time and resources, thereby contributing to client-side governance costs during contract execution. Control costs refer to the client-side effort required to specify expectations, monitor supplier performance, verify compliance, and

enforce agreements. Coordination costs refer to the effort required to align activities, manage handoffs, resolve misunderstandings, and integrate interdependent work across organizational and national boundaries (Dibbern et al., 2008; Handley & Benton, 2013). Although TCT provides a basis for explaining transaction hazards, contractual safeguards, and governance costs, it gives less attention to how trust develops through repeated interaction and may complement formal controls in constraining opportunism (Wang et al., 2013). This limitation motivates the complementary relational perspective provided by SET.

2.2 Social Exchange Theory

SET provides a relational lens for understanding inter-organizational relationships by emphasizing that cooperation develops through reciprocity, mutual obligation, and expectations of continued exchange (Blau, 1986; Steinle et al., 2014). In offshore outsourcing relationships, geographical distance and organizational separation constrain observability and increase uncertainty about the intentions and behavior of contracting parties, making these relational dynamics especially salient (Winkler et al., 2008). During the early stages of such relationships, trust deficits are common, and opportunistic behavior may become more likely when a party perceives that the benefits of pursuing immediate self-interest outweigh the expected future value of continued exchange and reciprocity (Steinle et al., 2014).

From a SET perspective, trust is not a fixed attribute but a relational resource that develops through repeated interaction and accumulated exchange experience (Könning et al., 2021). As parties demonstrate reliability and cooperative intent, trust can enhance mutual confidence and reduce the likelihood of opportunism, conflict, and breakdowns in collaboration (Mao et al., 2008; Morgan & Hunt, 1994; Schoenherr et al., 2015). Trust may also enable parties to tolerate short-term imbalances in pursuit of longer-term goals, thereby contributing to a more stable relationship and supporting sustained cooperation over time (Schoenherr

et al., 2015). A key enabling factor in this process is relationship continuity, understood as the expectation that the relationship will persist, which strengthens incentives to sustain cooperation and invest in the relationship (Gulati, 1995; Sako, 1992).

These relational processes suggest that the relative emphasis placed on different controls may change as offshoring relationships develop. When trust is not developed and expectations of relationship continuity are weak, firms tend to rely more heavily on explicit safeguards and monitoring to mitigate behavioral uncertainty. As trust develops, informal controls may play a greater role in day-to-day coordination. Intensive contractual enforcement and monitoring may consequently become less central (Schoenherr et al., 2015; Srivastava & Teo, 2012; van der Meer-Kooistra & Vosselman, 2000). In this way, SET explains how trust and expectations of relationship continuity may alter the relative emphasis placed on formal and informal controls over time. It complements TCT by explaining relational processes that develop through repeated exchange and that may mitigate behavioral uncertainty under conditions of contractual incompleteness.

2.3 Contingency Theory

CT posits that there is no universally effective design of MCS packages. Instead, the effectiveness of a control arrangement depends on its fit with conditions that shape coordination, monitoring, information processing, and behavioral alignment (Chenhall, 2003; Donaldson, 2001; Otley, 2016). In offshore outsourcing, this fit is important because control spans organizational and national boundaries and must accommodate relational and cultural conditions, task characteristics, and organizational structures. CT therefore provides a rationale for examining how formal and informal controls are configured within MCS packages in relation to the demands of particular client–supplier relationships.

In offshoring research, cultural distance between the client's and supplier's countries is frequently discussed as a relevant contextual condition because it can influence communication, interpretive alignment, preferences for formalization, and how trust and monitoring are perceived within the client–supplier relationship (Doney et al., 1998; Narayanaswamy & Henry, 2005). When cultural distance is substantial, coordination and control demands may increase, raising the likelihood of misunderstandings, coordination difficulties, and relationship breakdowns if control arrangements are not adapted accordingly (Dibbern et al., 2008; Koenig et al., 2007; Skowronski et al., 2022). CT also draws attention to a complementary cultural condition: the client firm's cultural understanding and cultural competency, that is, its capacity to interpret cultural differences and adapt its interaction practices accordingly (Schoenherr et al., 2015; Wibisono et al., 2019).

Formal safeguards can clarify responsibilities and performance expectations and reduce uncertainty, whereas informal controls can facilitate cooperation and mutual adjustment, although they often require sustained relational investment (Cislaghi et al., 2022; Ouchi, 1979; Poppo & Zenger, 2002). CT therefore supports examining how these controls are combined and aligned with the specific demands of client–supplier relationships.

Consistent with CT, governance costs—control costs and coordination costs—are expected to depend not only on distal contextual factors, such as aggregate cultural distance, but also on more proximate execution-level factors that shape the day-to-day management of offshoring relationships. In this dissertation, these execution-level factors include formal and informal controls, trust, and task characteristics. Trust can reduce perceived behavioral uncertainty and support cooperation, thereby shaping both the intensity of formal monitoring and the feasibility of relying on relational coordination (Das & Teng, 2001; Gulati, 1995; Morgan & Hunt, 1994; Sako, 1992). Although trust is theoretically developed through SET, CT helps explain how its relevance to control

arrangements and governance costs may vary across relationship contexts.

In this regard, task characteristics, particularly task complexity and task interdependence, affect information-processing requirements, verification difficulty, and synchronization needs, thereby influencing the extent to which monitoring, reporting, and mutual adjustment are required during contract execution (Jayaraman & Liu, 2019; Kumar et al., 2009; Larsen et al., 2013; Olson & Olson, 2000). Hence, client-side governance costs may vary according to how formal and informal controls, trust, and task characteristics operate within offshore outsourcing relationships (Chenhall, 2003; Otley, 2016).

In addition, CT is useful for explaining variation in organizational responses to binding supply chain due diligence regulation. Even when firms are subject to the same legal requirements, implementation may differ because organizational contingencies, such as organizational structure and supply chain complexity, can lead to different adaptations of MCS packages across firms.

2.4 Institutional Theory

While CT focuses on fit, IT explains how external institutional pressures shape organizational structures and practices as firms seek legitimacy and respond to institutional expectations (DiMaggio & Powell, 1983; Scott, 2005). Institutional pressures may be coercive, normative, or mimetic. Coercive pressures arise from laws, regulations, and powerful external actors. They are especially important in supply chain sustainability governance, where binding supply chain due diligence regulation imposes demands for documented risk analysis, monitoring routines, escalation pathways, grievance mechanisms, and reporting across supply chain tiers (*BAFA - Overview*, n.d.; DiMaggio & Powell, 1983; *Directive (EU) 2024/1760*, n.d.).

Normative pressures stem from professional and stakeholder expectations as well as industry standards concerning responsible sourcing and ESG transparency. Mimetic pressures may lead firms to emulate the compliance and governance practices of other organizations when regulatory expectations or appropriate implementation practices remain uncertain (DiMaggio & Powell, 1983; Kauppi & Hannibal, 2017). Organizations may adopt formal structures in response to institutional pressures to enhance legitimacy, while the extent of implementation may vary when compliance demands compete with operational priorities and resource constraints (Scott, 2005, 2014).

Accordingly, IT explains why legitimacy concerns and the risk of sanctions create coercive pressure for firms to implement documented and auditable control arrangements in response to binding supply chain due diligence regulation. CT complements this explanation by accounting for variation across firms in how such regulation is operationalized through MCS packages.

2.5 Theoretical Synthesis

TCT, SET, CT, and IT provide a coherent theoretical foundation for explaining how firms configure and, when required, reconfigure MCS packages in relation to performance and sustainability compliance in global supply chains. TCT explains why cross-border supplier relationships are exposed to governance hazards, particularly opportunism and information asymmetry, and why firms rely on formal safeguards like contractual specification, monitoring routines, audits, and reporting to mitigate behavioral uncertainty and safeguard the exchange. SET complements this explanation by emphasizing how relational resources such as trust, reciprocity, and expectations of relationship continuity support collaboration and longer-term cooperation.

CT explains why MCS packages cannot be expected to operate uniformly across relationships or across firms. Contextual factors, including trust,

culture, and relationship continuity, as well as task characteristics such as task complexity and task interdependence, shape the governance and control demands of cross-border supplier relationships, including the control and coordination costs associated with governing them. IT explains how binding supply chain due diligence regulation creates institutional pressures for firms to expand the scope of control, strengthen documentation and traceability, and establish accountability arrangements. CT complements this institutional explanation by accounting for variation in how firms operationalize the same regulatory requirements under different organizational structures and supply chain complexity.

The four theories are therefore used as complementary explanatory lenses rather than as mutually exclusive explanations. Table 1 summarizes the main explanatory concern, primary analytical focus, and role of each theoretical lens in the dissertation.

Theoretical lens	Main explanatory concern	Primary analytical focus	Role in the dissertation
TCT	Transaction hazards, information asymmetry, opportunism, and safeguarding	Transaction	Explains why transaction hazards create a need for contractual safeguards, monitoring, and reporting in client–supplier relationships
SET	Trust, reciprocity, relational exchange, and relationship continuity	Relationship	Explains how trust and expectations of relationship continuity support cooperation and relate to the changing emphasis placed on formal and informal controls over time in client–supplier relationships
CT	Fit between control arrangements and contextual demands	Relationship, task, cultural, organizational context	Explains variation in MCS package configuration and reconfiguration across relational, cultural, task-related, and organizational conditions in client–supplier relationships
IT	Coercive pressure, normative expectations, and mimetic responses	Regulatory and institutional environment	Explains why binding due diligence regulation creates pressure for strengthening documentation, traceability, and accountability across supply chain tiers, thereby prompting MCS package reconfiguration

Table 1. Theoretical lenses informing MCS package configuration and reconfiguration for performance and sustainability compliance in global supply chains.

3. Literature Review and Conceptual Foundations

This chapter reviews and synthesizes the literature on offshoring governance and management control and develops the conceptual basis for understanding how MCS packages are configured and, when required, reconfigured in relation to two outcome domains: offshoring performance in cross-border inter-organizational relationships and sustainability compliance across supply chain tiers. The review is organized around two complementary analytical lenses. First, it uses the distinction between formal and informal controls to structure research on inter-organizational and cross-border governance (Dekker, 2004; Gulati, 1995; Poppo & Zenger, 2002). Second, it adopts an MCS package perspective to examine how control mechanisms are combined and used alongside one another (Malmi & Brown, 2008). The chapter also examines the contextual factors and institutional pressures associated with MCS package configuration and reconfiguration and considers offshoring performance and sustainability compliance as analytically distinct but interrelated outcome domains.

3.1 Offshoring as a Governance Challenge

Offshoring refers to the relocation of business activities to another country. It may occur within firm boundaries through captive offshoring or across firm boundaries by contracting with an independent foreign supplier, an arrangement referred to as offshore outsourcing (Beugré & Acar, 2008; Dibbern et al., 2008; Mihalache & Mihalache, 2016). Although both forms create cross-border coordination challenges, offshore outsourcing is particularly relevant to inter-organizational governance because it crosses both organizational and national boundaries. Under conditions of bounded rationality, contracts are inevitably incomplete because parties cannot specify all possible future contingencies *ex ante*. Offshore outsourcing relationships may consequently be exposed to opportunism, renegotiation hazards, and ambiguity concerning performance obligations and outcomes (Coase,

1937; Williamson, 1979, 1985, 1996). Geographical distance, time-zone differences, and limited visibility into supplier performance can exacerbate information asymmetry and increase the control and coordination costs associated with offshore outsourcing relationships (Handley & Benton, 2012; Steinle et al., 2014).

Transaction characteristics influence the governance arrangements adopted in these relationships. Asset specificity and uncertainty, in particular, increase the client's vulnerability and may therefore create a greater need for contractual safeguards, monitoring systems, and reporting arrangements (van der Meer-Kooistra & Vosselman, 2000; Williamson, 1985). From a management control perspective, formal controls rely on explicit performance targets, rules, procedures, reporting requirements, and contractual obligations to guide conduct and assess performance (Kirsch et al., 2002; Krancher et al., 2022). Formal controls may be complemented by informal controls, which facilitate cooperation and mutual adjustment by fostering shared understandings (Bahli & Rivard, 2013).

Offshoring governance must also account for task characteristics. Task interdependence increases the need for mutual adjustment, rapid problem solving, and joint decision-making across organizational and national boundaries, whereas task complexity increases information-processing requirements and makes it more difficult to define, measure, and verify outputs in advance (Kumar et al., 2009; Thompson, 2017). These task demands often require ongoing client–supplier interaction to clarify expectations, manage deviations, and coordinate adjustments during contract execution (Larsen, 2016; Larsen et al., 2013). The governance challenge is therefore twofold: firms must manage appropriation concerns (a type of governance hazard) by safeguarding the exchange while simultaneously addressing coordination requirements that arise during contract execution (Dekker, 2004).

Relational and cultural conditions, together with institutional and regulatory pressures, add further complexity to offshore outsourcing

governance. Differences in norms and communication practices can reduce interpretive alignment and increase the likelihood of misunderstandings and conflict, especially when tasks require rich information exchange and continuing mutual adjustment (Beugré & Acar, 2008; Winkler et al., 2008). Institutional and regulatory pressures can also generate legitimacy and compliance demands that influence both the control practices considered acceptable and the evidence firms must produce to demonstrate compliance (Kostova et al., 2008; Scott, 2005, 2014).

Taken together, transaction hazards, task demands, and relational, cultural, and institutional conditions make offshore outsourcing a governance challenge that requires firms to safeguard the exchange while supporting coordination across organizational and national boundaries.

3.2 Management Control Systems in Inter-organizational Relationships

MCS provide mechanisms through which firms seek to influence behavior, align actions with strategic objectives, and address governance requirements (Merchant & van der Stede, 2007; Otley, 1994, 1999). In inter-organizational relationships, control extends beyond organizational hierarchy and takes on boundary-spanning functions, including specifying expectations, allocating decision rights, structuring information exchange, and establishing routines for escalation and dispute resolution (Dekker, 2004; van der Meer-Kooistra & Vosselman, 2000). Because offshore outsourcing involves ongoing exchange and interdependence between legally separate firms, arm's-length contracting alone may be insufficient, while hierarchical authority is not fully available across organizational boundaries. These relationships therefore often rely on hybrid governance arrangements that combine contractual safeguards with relational coordination. Such combinations are especially important when contracts are incomplete and when tasks are complex or

interdependent (Gulati & Singh, 1998; Handley & Benton, 2013; Remus & Wiener, 2012; Williamson, 1996).

A widely used organizing distinction is between formal and informal controls. Formal controls are explicit, codified, and often auditable (e.g., contracts, procedures, performance measurement systems, reporting routines, and monitoring structures) (Dekker, 2004; Morgan et al., 2018). In contrast, informal controls operate through shared norms, socialization, mutual expectations, and relational mechanisms that shape behavior beyond what is contractually specified (Gulati, 1995; Mähring et al., 2018; Ouchi, 1979). Controls can also be differentiated according to their object. Outcome control governs results through targets and performance metrics, whereas behavioral control (or process control) governs actions through prescribed procedures and monitoring of compliance with agreed activities (Choudhury & Sabherwal, 2003; Kang et al., 2012; Kirsch et al., 2002; Krancher et al., 2022; Langfield-Smith & Smith, 2003). Outcome and behavioral controls are generally treated as formal controls because they rely on explicit targets, procedures, and monitoring. Informal controls include social (or clan) control, which relies on shared values, norms, and peer influence, and self-control, which relies on individuals' goal alignment with organizational goals and intrinsic motivation (Bahli & Rivard, 2013; Ouchi, 1979; Wiener et al., 2015).

In offshore outsourcing and other inter-organizational relationships, effective control arrangements rarely rely on a single control mechanism. Instead, firms commonly combine formal and informal controls to balance accountability with flexibility and sustain coordination across organizational boundaries (Dekker, 2004; Gulati & Singh, 1998; Jayaraman & Liu, 2019; Poppo & Zenger, 2002). The concurrent use of multiple control mechanisms provides the basis for adopting an MCS package perspective.

3.3 MCS Packages and a Configurational Perspective

A critique in management control research is that individual control mechanisms are often examined in isolation, despite the fact that organizations typically use multiple control mechanisms concurrently (Malmi & Brown, 2008; Otley, 2016). This issue is particularly relevant in global sourcing, where cross-border supplier relationships commonly involve combinations of contractual safeguards, performance measurement, monitoring routines, coordination practices, and informal controls to address transaction hazards and day-to-day execution challenges (Dekker, 2004; Dibbern et al., 2008; Poppo & Zenger, 2002). An MCS package perspective hence directs attention to the multiple control mechanisms that coexist within a particular organizational or inter-organizational setting and to how they are used in combination.

Malmi and Brown's (2008) typology provides a structured framework for examining MCS packages by distinguishing five types of controls: planning, cybernetic, administrative, cultural, and reward and compensation controls. This typology makes it possible to classify diverse control mechanisms and examine their combination within a package. Although a change in one control type does not necessarily produce changes in others, introducing or modifying one element may necessitate corresponding adjustments elsewhere in the package. For example, the introduction of new key performance indicators (KPIs) and monitoring routines may also require changes in procedures, responsibilities, training, and incentive arrangements to ensure that the resulting performance information is interpreted and used consistently. However, such adjustments do not necessarily imply that the controls are intentionally designed as an integrated system or that their effects depend on formally specified interactions.

Building on the package perspective, a configurational perspective provides a means of examining how combinations and alignments of controls and contextual factors are associated with outcomes of interest. As defined earlier, MCS package configuration refers to the combination

and alignment of interrelated control mechanisms within a package in a manner that reflects governance priorities and contextual contingencies. Contextual factors are therefore not treated as components of the MCS package itself. Rather, configurational analysis is broader and examines how control conditions and contextual conditions operate jointly in relation to particular outcomes.

In this regard, configurational reasoning posits that outcomes may be associated with conjunctions of conditions. It also recognizes equifinality, defined as the possibility that different combinations of conditions can be associated with the same outcome, and causal asymmetry, understood as the possibility that the configurations associated with the presence of an outcome do not need to be the inverse of those associated with its absence (Fiss, 2011; Misangyi et al., 2017; Ragin, 2008). Management control research has increasingly applied configurational analysis to examine how combinations of controls and contextual conditions are associated with organizational outcomes (e.g., Einhorn et al., 2021; Frare et al., 2022).

3.4 Contextual Contingencies Shaping MCS Package Configuration

In offshoring relationships, trust, culture, and expectations of relationship continuity can shape the selection and effectiveness of control mechanisms (Beugré & Acar, 2008; Carson et al., 2006; Handley & Angst, 2015; Heumann et al., 2011; Mao et al., 2008; Schoenherr et al., 2015; Wibisono et al., 2019), while the combination and relative importance of formal and informal controls may vary with contextual conditions as client–supplier relationships develop (Cislaghi et al., 2022).

3.4.1 Trust

Trust is important in inter-organizational relationships because it can stabilize expectations under contractual incompleteness, reduce perceived exposure to opportunism, and support joint problem solving in

client–supplier relationships (Child, 2001; Clampit et al., 2015; Das & Teng, 2001; Gulati, 1995; Mao et al., 2008; Minnaar et al., 2017). The literature commonly distinguishes two dimensions: competence trust, defined as confidence in a partner's expertise, technical capabilities, and ability to fulfill contractual obligations (Kang et al., 2012; Nooteboom, 1996; Sako, 1992), and goodwill trust, defined as confidence in a partner's integrity, benevolence, and commitment to mutual interests (Das & Teng, 2001; Nooteboom, 1996; Sako, 1992). In outsourcing relationships, this distinction is particularly relevant because confidence in a partner's capability and confidence in its intentions may have different implications for governance and control (Carson et al., 2006; Christ et al., 2015; Goo & Huang, 2008).

From an MCS package perspective, trust does not replace control but may shape the relative emphasis placed on different control mechanisms. During the early stages of a relationship, when uncertainty is high and goodwill trust is not developed, firms may place greater emphasis on formal safeguards to establish accountability and reduce perceived vulnerability (Das & Teng, 2001; Williamson, 1985). As experience accumulates through repeated interaction, goodwill trust may allow informal controls, including shared norms, voluntary information exchange, and joint problem solving, to play a greater role in day-to-day collaboration (Gulati, 1995; Poppo & Zenger, 2002; Schoenherr et al., 2015). Hence, trust and control are not necessarily mutually exclusive. Goodwill trust may operate alongside verification, documentation, and accountability (Bracci et al., 2024). Trust can consequently shape both the initial configuration of an MCS package and subsequent changes in its relative emphasis placed on different controls as the relationship develops.

3.4.2 Culture

Hofstede (2001, p. 9) defines culture as "the collective programming of the mind that distinguishes the members of one group or category of

people from another." In offshoring research, national cultural differences are often operationalized using Hofstede's cultural dimensions (e.g., individualism–collectivism, power distance, and uncertainty avoidance) (Hofstede, 1984, 1991, 2001). Culture is relevant to offshoring governance because cross-border collaboration is prone to interpretive ambiguity and behavioral uncertainty. Differences in assumptions and communication practices can impede mutual understanding (Cramton, 2001). In addition, national cultural values may condition the relative effectiveness of contractual and relational governance (Handley & Angst, 2015) and influence which formal and informal controls are considered appropriate (Narayanaswamy & Henry, 2005; Wiener et al., 2015).

The literature nevertheless cautions that cultural distance indices are imperfect proxies for the mechanisms that matter in day-to-day governance (Shenkar, 2001; Stahl & Tung, 2015). The reason is that such measures capture broad cross-national differences but provide limited insight into how actors recognize, interpret, and manage those differences within client–supplier interactions (Shenkar, 2001). In other words, cultural differences should not be treated only as sources of friction, because their effects depend partly on how firms and individuals respond to them (Stahl & Tung, 2015).

The governance implications of culture may therefore be better understood by examining the practices through which client and supplier firms identify and manage culturally grounded differences. Cramton (2001), for example, emphasizes communicating local requirements and constraints, establishing communication norms and backup procedures, and providing prompt feedback. Narayanaswamy and Henry (2005) similarly emphasize harmonized processes and control strategies adapted to the cultural setting. Beugré and Acar (2008) further emphasize shared perceptions and expectations of justice and cultural sensitivity among boundary-spanning actors.

In this dissertation, culture is examined through one country-level condition and two relationship-level capabilities. The country-level

condition is cultural distance, which captures broad differences between the countries in which client and supplier firms are located (Hofstede, 2001; Kogut & Singh, 1988). The two relationship-level capabilities are cultural understanding as well as cultural competency. Cultural understanding refers to the capability to recognize and interpret culturally grounded differences that are relevant to client–supplier interaction. This conceptualization draws on research that treats cultural understanding as an attribute associated with trust formation and as part of the capability to manage distance in offshore outsourcing (Doney et al., 1998; Schoenherr et al., 2015; Wibisono et al., 2019). Cultural competency refers to the capability to adapt communication, coordination, and other interaction practices in response to those differences (Beugré & Acar, 2008).

From an MCS package perspective, cultural distance may increase exposure to interpretive ambiguity. Cultural understanding and cultural competency may, by contrast, increase the likelihood that formal and informal controls are interpreted and used as intended across organizational and national boundaries.

3.4.3 Relationship Continuity

Relationship continuity refers to the expectation that collaboration between contracting parties will continue over time, which is relevant to governance because it alters the anticipated value of future exchange. When contracting parties expect the relationship to continue, the "shadow of the future" strengthens reputational incentives and increases the potential returns from cooperation and joint investment in the relationship. Strong expectations of continuity may thus support more flexible and relationally grounded control arrangements (Axelrod, 1984; Carson et al., 2006; Gulati, 1995). Conversely, when expectations of continuity are weak, the shadow of the future diminishes and the anticipated benefits of future cooperation decline. Under these conditions, firms may place greater emphasis on enforceable safeguards

and more rigid performance evaluation because concerns about opportunism under incomplete contracting become more salient (Poppo & Zenger, 2002; Williamson, 1985).

From an MCS package perspective, expectations of relationship continuity may shape changes in the relative emphasis placed on formal and informal controls as a relationship develops. When parties expect continued collaboration, they may be more willing to invest in the relationship and engage in repeated interaction. Such integration can build trust and allow firms to place greater emphasis on informal controls, although formal controls may remain important for maintaining accountability (Cislaghi et al., 2022; Gulati, 1995; Poppo & Zenger, 2002). Thus, formal and informal controls may operate as complements, in the sense that formal controls can specify responsibilities, monitoring procedures, and dispute resolution processes, while informal controls can support information exchange, mutual adjustment, and adaptation when unexpected changes or conflicts arise (Carson et al., 2006; Poppo & Zenger, 2002). In addition to that, continued interaction may generate learning that enables firms to refine their control arrangements over time (Poppo & Zenger, 2002).

3.5 Offshoring Performance and Sustainability Compliance

In global supply chains, MCS may serve a dual role by supporting offshoring performance and demonstrating sustainability compliance through accountability arrangements and verifiable evidence generation. This dissertation treats offshoring performance and sustainability compliance as analytically distinct but interrelated outcome domains. Offshoring performance concerns the extent to which client firms realize the anticipated benefits of client–supplier relationships. Sustainability compliance concerns the extent to which client firms meet externally mandated supply chain due diligence requirements and provide verifiable evidence of compliance across supply chain tiers. Although both outcomes relate to the effectiveness of MCS packages, they are evaluated against

different criteria, entail partly distinct control demands, and may reinforce one another or, at times, create tension.

3.5.1 Performance

Traditional offshoring research often assessed performance primarily through financial outcomes, particularly profitability and cost savings (Caniato et al., 2015; Jabbour, 2010). More recent research, however, conceptualizes offshoring performance as multidimensional, encompassing financial, operational, relational, and strategic outcomes that are shaped by governance effectiveness, coordination quality, and relationship dynamics (Tse et al., 2019; Wang et al., 2019).

Financial performance concerns realized cost savings, profitability, and value capture. Anticipated offshoring gains may, however, be offset by recurring governance costs associated with monitoring, coordination, and contractual management, making cost savings alone an incomplete indicator of performance (Aron & Singh, 2005; Larsen et al., 2013). Operational performance captures delivery reliability, quality, responsiveness, efficiency, and process stability. These outcomes depend to some degree on information-processing capacity and the fit between task characteristics and control arrangements (Kumar et al., 2009; Stratman, 2008). Relational performance concerns the quality of collaboration, including communication effectiveness, conflict management, and perceived partnership effectiveness, which support knowledge exchange and the capacity to resolve exceptions without excessive friction (Das & Teng, 2001; Poppo & Zenger, 2002). Strategic performance refers to longer-term outcomes such as capability development, learning, innovation, and the achievement of broader strategic objectives through the relationship (Miranda & Kavan, 2005; Willcocks & Lacity, 2014).

In this dissertation, offshoring performance is operationalized as perceived offshoring success, referring to the extent to which client firms

consider the supplier collaboration successful, perceive that their offshoring objectives have been achieved, and are satisfied with the benefits obtained from the offshore operation (Helm et al., 2020).

3.5.2 Sustainability Compliance

A decisive development in contemporary governance is the shift from predominantly voluntary CSR initiatives toward binding sustainability due diligence regulation. Such regulation generally obliges in-scope firms to establish demonstrable processes for identifying, preventing, and mitigating human rights and environmental risks throughout supply chains (Palea et al., 2025; Scott, 2005; Smit et al., 2021). Regulations such as Germany's Supply Chain Due Diligence Act (LkSG) (*BMAS - Lieferkettengesetz*, n.d.) and the EU Corporate Sustainability Due Diligence Directive (*Directive (EU) 2024/1760*, n.d.) institutionalize expectations for documented due diligence and increase the significance of enforcement, liability, and verifiable evidence beyond that typically associated with voluntary CSR frameworks (Arjaliès & Mundy, 2013; Fiechter et al., 2022; Gond et al., 2012; Scott, 2014).

A central governance implication is that firms must extend their control arrangements beyond conventional dyadic supplier management toward broader supply chain visibility, traceable documentation, and verifiable due diligence processes across tiers (*BAFA - Overview*, n.d.; *BMAS - Lieferkettengesetz*, n.d.). Sustainability regulation can therefore be understood as a form of coercive institutional pressure that redefines baseline expectations for risk management, documentation, traceability, and evidence generation and may prompt the reconfiguration of existing MCS packages. Such reconfiguration may involve extending the scope of monitoring, strengthening documentation requirements, formalizing routines, and clarifying responsibilities and decision rights. These adjustments may nevertheless create tensions with operational flexibility and relationship management (Gond et al., 2012; Scott, 2014).

To analyze these adjustments, the dissertation draws on two complementary frameworks. Malmi and Brown's (2008) MCS package typology provides a structural classification of control types spanning planning, cybernetic, administrative, cultural, and reward and compensation controls. Gond et al.'s (2012) integration model provides a processual perspective by distinguishing technical, organizational, and cognitive integration and emphasizes the processes through which sustainability considerations become embedded in organizational practices. Combining these frameworks enables the analysis to examine both the control mechanisms that are reconfigured in response to binding supply chain due diligence regulation and the processes through which those changes become embedded within the organization.

Planning controls incorporate sustainability into organizational objectives and translate regulatory commitments into targets, milestones, and implementation timelines (Ditillo & Lisi, 2014; Malmi & Brown, 2008). Administrative controls establish governance and accountability arrangements, policies, procedures, responsibilities and decision rights (Malmi & Brown, 2008). Cybernetic controls operationalize due diligence through measurement and feedback processes—for example, ESG scorecards, dashboards, and reporting systems, variance analysis, and corrective action—that support performance evaluation and follow-up (Ditillo & Lisi, 2014; Malmi & Brown, 2008). Cultural controls promote sustainability-related behavior through shared values, norms, and managerial attention, often reinforced by training and communication (George et al., 2016; Malmi & Brown, 2008). Reward and compensation controls may link evaluation and incentives to sustainability objectives by incorporating relevant measures into performance appraisal and remuneration and incentive systems (Edirisinghe et al., 2024; Malmi & Brown, 2008).

A central insight in the sustainability control literature is that sustainability governance may become more effective when it is integrated into the organization's core MCS rather than treated as a peripheral initiative or symbolic reporting exercise (Gond et al., 2012). Gond et al.

(2012) distinguish technical integration, organizational integration, and cognitive integration. Technical integration concerns the extent to which sustainability information is captured, processed, and made usable through measurement systems, reporting routines, and information infrastructures that support follow-up and corrective action. Organizational integration refers to the assignment of responsibility, authority, and accountability for sustainability objectives within governance structures and organizational routines, including decision rights and escalation pathways. Cognitive integration refers to the extent to which sustainability becomes part of managerial sensemaking and decision rationales, so that sustainability risks and trade-offs are treated as operationally and strategically relevant rather than merely reputational concerns (Gond et al., 2012). These dimensions are especially relevant under binding supply chain due diligence regulation because compliance requires not only formal policies but also demonstrable implementation and evidence generation across organizational functions and supply chain tiers.

This integration perspective connects directly to MCS package thinking. Because binding supply chain due diligence regulation cuts across functions and boundaries, including procurement, legal, compliance, and operations, it may therefore require aligned changes across several control mechanisms (Ditillo & Lisi, 2014; Malmi & Brown, 2008). Sustainability risk identification may be incorporated into planning and sourcing decisions, while monitoring and evaluation may be connected to auditable measurement and reporting routines. Similarly, escalation and remediation may require formal procedures and decision rights, and responsibility for due diligence outcomes may need to be anchored in accountability structures that can withstand external scrutiny (Ditillo & Lisi, 2014; Gond et al., 2012).

These control types can be considered in relation to the dissertation's distinction between formal and informal controls. Planning, cybernetic, and administrative controls are generally formal because they rely on codified objectives, procedures, measures, and accountability

arrangements. Reward and compensation controls are also typically formal when they are based on explicit evaluation criteria and incentive schemes. Cultural controls often operate more informally through shared values, norms, and socialization, although they may also be supported by formal policies, training programs, and communication routines (Dekker, 2004; Malmi & Brown, 2008).

4. Methodology

This dissertation comprises four articles that examine how MCS packages are configured and, when required, reconfigured in relation to performance and sustainability compliance in global supply chains. This chapter explains the methodological rationale and research design for the dissertation and shows how the four articles contribute to the overall research purpose.

4.1 Ontology and Epistemology

4.1.1 Ontological Position: Critical Realism

This dissertation adopts a critical realist ontological position (Bhaskar, 2013; Danermark et al., 2019; Saunders et al., 2009). Critical realism assumes that social and organizational phenomena are underpinned by real structures and generative mechanisms that exist independently of any single actor's perceptions or descriptions (Bhaskar, 2013; Danermark et al., 2019). A generative mechanism refers to an underlying causal process with the capacity to bring about particular effects, even when it cannot directly be observed. However, these effects are not assumed to occur uniformly. Whether and how they occur depends on the context and on other mechanisms operating in the same setting (Bhaskar, 2013; Sayer, 2000).

This position is relevant for this dissertation because organizations and global supply chains operate as open systems. In such systems, multiple generative mechanisms may operate simultaneously, and their effects may reinforce, modify, or counteract one another. Hence, outcomes cannot be explained by assuming simple, context-free regularities. For example, formal controls may reduce behavioral uncertainty in one relationship but generate administrative burden or weaken trust in another. Similarly, informal controls may support collaboration when trust is established but may be insufficient where task complexity or regulatory pressure is high. Explanation consequently requires moving beyond observable associations to consider which generative mechanisms may be operating, under what conditions they are activated, and what consequences they produce (Bhaskar, 2013; Saunders et al., 2009).

A foundational principle of critical realism is its stratified ontology, which distinguishes among three domains: the real, the actual, and the empirical (Bhaskar, 2013). These domains distinguish what exists, what occurs, and what can be observed, experienced, or documented. Their distinction is central to understanding how this dissertation approaches its subject matter.

The real domain comprises relatively enduring structures with causal powers, the generative mechanisms through which those powers operate, and the contextual conditions that enable, constrain, or modify the operation and effects of those mechanisms. Relatively enduring means that these structures may persist across multiple interactions and organizational settings, although they can evolve over longer timeframes through human action and institutional change. In this dissertation, relevant structures are contractual incompleteness, information asymmetry, and binding supply chain due diligence regulation. The operation and effects of the generative mechanisms associated with these structures depend on contextual conditions, including trust, cultural differences, and expectations of relationship continuity. Together, these structures and contextual conditions may enable, constrain, or modify the operation of different generative mechanisms.

For example, information asymmetry may allow actors to exploit informational advantages through selective disclosure or concealment. Trust may support reciprocity and encourage voluntary information sharing, whereas cultural differences may produce divergent interpretations of expectations and control practices, contributing to misunderstandings or coordination difficulties. Expectations of relationship continuity may strengthen reputational incentives and increase the anticipated benefits of future cooperation, thereby supporting cooperative behavior. Binding supply chain due diligence regulation may exert coercive pressure and the anticipation of sanctions, prompting firms to adopt more formalized and auditable control arrangements.

The actual domain refers to the events that occur when mechanisms operate within particular contexts (Bhaskar, 2013; Danermark et al., 2019). In this dissertation, these events may include changes in monitoring routines, shifts in coordination practices, renegotiations of supplier arrangements, or the reconfiguration of MCS packages as relationship conditions evolve or in response to binding supply chain due diligence regulation. Such events are not assumed to occur uniformly across all firms or relationships. Whether they occur, and in what form, depends on the interaction between structures, contextual conditions, and mechanisms operating within the same setting.

The empirical domain refers to what can be observed, experienced, and documented through the research process (Bhaskar, 2013; Danermark et al., 2019). In this dissertation, this includes patterns identified in prior literature, configurational patterns revealed through set-theoretic methods, associations observed through quantitative analysis, and qualitative accounts collected through interviews. These empirical observations provide only partial access to the real domain. They make it possible to develop plausible explanations of underlying mechanisms, but they do not constitute direct proof that particular mechanisms exist or have produced the observed outcomes.

This ontological stance aligns with the dissertation's focus on MCS packages in global supply chains. Control mechanisms are not approached as isolated practices with uniform or predictable effects. Instead, they are understood as interrelated elements within MCS packages, whose configuration, use, and consequences depend on relational, cultural, task-related, and regulatory conditions. This perspective is reflected across the four articles. Article 1 develops a conceptual explanation of how formal and informal controls, trust, cultural understanding, and relationship continuity relate to offshoring performance. Article 2 examines how formal and informal controls combine with trust, cultural competency, and relationship continuity in configurations associated with offshoring success and offshoring failure. Article 3 examines the association between cultural distance as well as execution-level factors and governance costs. Article 4 examines how binding supply chain due diligence regulation creates pressure for firms to reconfigure MCS packages.

Across the dissertation, causation is treated as context-dependent rather than deterministic. The effects of control mechanisms are understood to depend on the conditions under which they are used and on the other mechanisms operating in the same setting. In Article 2, this critical realist position is complemented by set-theoretic configurational logic, which treats causation as conjunctural and asymmetric. Conjunctural causation means that outcomes arise from combinations of conditions and that the relevance of an individual condition depends on the other conditions with which it is combined. Different combinations of conditions may be associated with the same outcome, which reflects equifinality, and the configurations associated with offshoring success do not need to be the inverse of those associated with offshoring failure, which is referred to as causal asymmetry (Ragin, 2008; Schneider & Wagemann, 2012).

In sum, this dissertation adopts a realist view of underlying structures with causal powers while recognizing that whether and how these powers are exercised depends on the contexts in which generative mechanisms operate. This position supports the overall research purpose by providing a basis for developing context-dependent explanations of how MCS

packages are configured and reconfigured in global supply chains to support performance and demonstrate sustainability compliance.

4.1.2 Epistemological Position: Critical Realist Epistemology

Consistent with its critical realist ontology, this dissertation adopts a critical realist epistemology (Bhaskar, 2013; Danermark et al., 2019; Saunders et al., 2009). Critical realism combines ontological realism with epistemic fallibilism in the sense that although structures and generative mechanisms are assumed to exist independently of the researcher, knowledge of them is necessarily theory-laden, partial, and open to revision. This is particularly important in social and organizational research, where generative mechanisms are rarely directly observable and cannot be inferred from empirical regularities alone. Explanation thus involves developing plausible accounts of what may have generated observed events, patterns, and experiences in specific contexts. Such accounts are assessed in relation to their coherence, explanatory power, and consistency with the available evidence, while recognizing that alternative explanations may remain plausible (Danermark et al., 2019; Sayer, 2000).

For this dissertation, this means that the empirical material is not treated as providing direct access to the generative mechanisms that shape MCS package configuration and reconfiguration. Respondents' reports of control practices, trust, cultural competency, governance costs, and adaptation to binding supply chain due diligence regulation offer valuable insight into organizational and inter-organizational experiences. However, these accounts may also be shaped by respondents' organizational roles, institutional settings, interpretations, and the concepts and vocabularies available to them for describing complex global supply chain relationships. The task is therefore not only to report what is observed, but also to develop warranted explanations of the generative mechanisms and contextual conditions that may account for the observed patterns.

This epistemological position has three implications for how evidence is interpreted across the dissertation. First, knowledge claims are framed as context-dependent rather than universal (Bhaskar, 2013; Sayer, 2000), meaning the dissertation does not seek to establish context-free causal laws. Rather, it develops explanations within specified conceptual and empirical boundaries. Configurational findings are interpreted as evidence that particular combinations of conditions are sufficient for an outcome within the calibrated empirical space, rather than as direct evidence of the generative mechanisms through which those combinations may produce the outcome (Ragin, 2008; Schneider & Wagemann, 2012). Relationships estimated via PLS-SEM are treated as patterned associations within the boundaries established by the study's operationalization, model specification, and sample characteristics. Qualitative findings are interpreted as situated accounts of how actors understand, implement, and adapt control practices in response to organizational and regulatory conditions. Across the dissertation, findings are therefore presented as warranted but provisional explanations, rather than universally generalizable causal claims.

Second, the dissertation draws on multiple forms of evidence and analysis to strengthen explanatory inference. Together, the four articles provide complementary insights into the configuration and reconfiguration of MCS packages in global supply chains. Article 1 synthesizes prior research and develops conceptual explanations of how MCS, trust, culture, and relationship development relate to offshoring performance. Articles 2 and 3 examine cross-sectional patterns in offshore outsourcing relationships through different analytical logics. Article 4 provides qualitative accounts of how firms adapt MCS packages under binding supply chain due diligence regulation. These different forms of evidence and analysis are not treated as interchangeable or as competing representations of reality. Instead, they are used to refine constructs, compare findings across contexts, and develop more differentiated explanations.

Third, explanation is pursued through abductive, deductive, and retroductive reasoning. Abduction is used to re-describe empirical

observations through theoretically informed concepts, such as formal and informal controls, trust dimensions, cultural competency, governance costs, institutional pressures, and MCS package reconfiguration. Deductive reasoning is applied where the research design permits the assessment of theoretically specified relationships, particularly in the quantitative studies. Retroduction supports the broader explanatory task by asking what underlying structures, generative mechanisms, and contextual conditions would need to exist for the observed patterns and accounts to be possible (Danermark et al., 2019; Sayer, 2000). In this way, the dissertation moves from empirical observations toward explanation without claiming deterministic causality or direct observation of the mechanisms concerned.

Overall, the dissertation adopts an explanatory and context-dependent view of knowledge. It develops warranted explanations of how MCS packages are configured and reconfigured in global supply chains, while recognizing that these explanations remain provisional and depend on theoretical framing, methodological choices, and empirical scope conditions. The aim is therefore not prediction in a strict, law-like sense, but to explain how particular MCS package configurations and reconfigurations emerge under specific relational, cultural, task-related, and regulatory conditions and how they may relate to performance and sustainability compliance in global supply chains.

4.2 Research Approach and Study Design

This dissertation adopts a multi-method research strategy to examine how MCS packages are configured and reconfigured in global supply chain settings. The choice of design reflects the nature of the phenomenon under study. In cross-border and inter-organizational contexts, the configuration and reconfiguration of MCS packages involve the selection, combination, use, and adaptation of control mechanisms, including formal and informal controls. How these packages are configured and reconfigured may be shaped by relational, task-related, cultural, and

regulatory conditions, including trust, cultural competency, task characteristics, expectations of relationship continuity, and binding supply chain due diligence regulation.

For this reason, no single methodological approach would be sufficient to address the dissertation's research purpose. A literature review can clarify the conceptual foundations of the topic and synthesize findings from prior research, but it cannot directly test empirical patterns. Cross-sectional quantitative studies can identify associations and configurations across a wider set of cases, but they provide limited insight into how MCS packages are interpreted and adapted in organizational practice. Qualitative case research can provide detailed insight into how firms interpret and adapt control practices, but it is not designed to estimate the prevalence of patterns across a large population of firms. The four studies therefore address the research purpose from different angles. Together, they allow the dissertation to move from conceptual development and cross-sectional analysis to a qualitative explanation of how firms reconfigure MCS packages in practice.

The research strategy is organized around four methodological approaches. Article 1 uses a structured literature review to consolidate prior research and develops a conceptual framework linking MCS packages, trust, culture, relationship development, and offshoring performance. Article 2 uses fsQCA to identify combinations of control practices and contextual factors associated with offshoring success and offshoring failure. This approach is suitable for examining equifinality and causal asymmetry, where different configurations may be associated with the same outcome and where the conditions associated with success are not necessarily the opposite of those associated with failure (Ragin, 2008; Schneider & Wagemann, 2012). Article 3 uses PLS-SEM to examine theoretically specified relationships among constructs and to assess whether cultural distance adds explanatory power for governance costs after more proximate execution-level factors are considered (Hair et al., 2019). Article 4 uses qualitative multiple-case analysis to examine how firms adapt MCS packages to comply with binding supply chain due

diligence regulation, with particular attention to how legal requirements are translated into control practices within organizational settings (Eisenhardt, 1989; Scapens, 2004; Yin, 2013).

Each article contributes a specific form of insight. Article 1 develops the conceptual foundation for understanding how MCS packages, trust, culture, and relationship development relate to offshoring performance. Article 2 examines configurations in which formal and informal controls combine with trust, cultural competency, and relationship continuity and are associated with offshoring success or offshoring failure. Article 3 focuses on governance costs in offshore outsourcing relationships and distinguishes between control costs and coordination costs. It also examines whether cultural distance retains explanatory power beyond more proximate execution-level factors, including formal and informal controls, task characteristics, and trust. Article 4 broadens the dissertation's analysis from MCS packages for performance to MCS packages for sustainability compliance by examining how multinational manufacturing corporations respond to Germany's Supply Chain Due Diligence Act.

Although the empirical scope differs across the articles, this variation is deliberate. Article 1 addresses offshoring broadly, including captive offshoring as well as offshore outsourcing. Articles 2 and 3 focus empirically on offshore outsourcing relationships between client firms and their independent foreign suppliers. Article 4 shifts the focus from dyadic client–supplier relationships and offshoring performance to examine how firms reconfigure MCS packages under binding supply chain due diligence regulation across supply chain tiers. This shift does not represent a departure from the dissertation's focus. Rather, it broadens the analysis from how MCS packages relate to performance in cross-border inter-organizational relationships to how they are reconfigured when sustainability compliance becomes a binding institutional demand.

This dissertation conceptualizes and operationalizes management control according to the analytical purpose of each study. Articles 1, 2, and 3

examine management control from an inter-organizational control perspective that distinguishes formal controls from informal controls. In Article 1, this distinction structures the conceptual synthesis of prior research linking MCS, trust, culture, and relationship development to offshoring performance. In the survey-based studies, Articles 2 and 3, the same distinction supports comparison across client–supplier relationships using survey items adapted from prior research. Article 2 examines these controls as elements of configurations that also include contextual factors associated with offshoring success and offshoring failure, whereas Article 3 examines them as execution-level factors associated with governance costs. In Article 4, MCS packages are examined through Malmi and Brown's (2008) control package framework, which distinguishes planning, administrative, cybernetic, cultural, and reward and compensation controls. This framework allows for a more fine-grained analysis of how different control types are adapted under binding supply chain due diligence regulation. These differences in conceptualization and operationalization reflect the analytical purpose of each study rather than a change in the dissertation's overarching phenomenon of interest, which is how MCS packages are configured and reconfigured in global supply chains, with particular attention to offshoring. From a critical realist standpoint, these approaches are therefore treated as complementary but partial conceptual and empirical entry points into different aspects of the same overarching phenomenon (Danermark et al., 2019).

The unit of analysis and level of analysis differ across the articles. Article 1's unit of analysis is the individual peer-reviewed article on management control in offshoring, from which concepts, theoretical relationships, and reported findings are extracted and synthesized. In Articles 2 and 3, the client–supplier offshore outsourcing relationship is the unit of analysis. In Article 4, the case firm is the unit of analysis, with an analytical focus on the organizational reconfiguration of MCS packages in response to binding supply chain due diligence regulation. The studies hence encompass different levels of analysis. Article 1 is conceptual and is not assigned to a specific empirical micro-, meso-, or macro-level. Articles 2

and 3 focus on the inter-organizational or dyadic level, commonly treated as a meso-level of analysis. Article 4 focuses on the organizational or firm level, also situated at the meso-level, while examining firm responses to binding supply chain due diligence regulation imposed at the macro level. This combination enables the dissertation to connect conceptual development and cross-sectional pattern identification with qualitative explanations of how firms reconfigure MCS packages in practice. Table 2 summarizes the methodological approach, unit of analysis, level of analysis, and unit of observation for each article.

The dissertation also distinguishes between cross-cultural capabilities and national cultural distance. Cultural understanding and cultural competency refer to capabilities for recognizing and managing cultural differences in cross-border collaboration in ways that may reduce miscommunication, relational friction, and control-related problems (Handley & Angst, 2015; Narayanaswamy & Henry, 2005; Wiener et al., 2015). Cultural distance, by contrast, is operationalized as a Hofstede-based country-pair measure of differences between national cultural profiles (Hofstede, 1984; Kogut & Singh, 1988). This distinction is noteworthy because cultural distance may indicate broad cross-national differences, but it does not directly capture how clients recognize and manage cultural differences within specific inter-organizational relationships.

Study	Methodological Approach	Unit of Analysis	Level of Analysis	Unit of Observation
Article 1: Conceptual framework for MCS configuration and reconfiguration in offshoring	Structured literature review; thematic coding and synthesis	Individual peer-reviewed articles on management control in offshoring and related inter-organizational settings	Conceptual/theoretical level; not assigned to an empirical micro-, meso-, or macro-level	Extracted concepts, theoretical relationships, and reported findings from each reviewed article, N = 74
Article 2: Management control and Offshoring performance	Cross-sectional survey; configurational analysis using fsQCA	Client–supplier offshore outsourcing relationship; each relationship treated as one case in fsQCA	Inter-organizational (dyadic) level; meso-level	Key-informant survey responses anchored to one focal client-supplier relationship; primary data, N = 55
Article 3: Governance costs and cultural distance	Cross-sectional survey; PLS-SEM with linear and quadratic specifications	Client–supplier offshore outsourcing relationship	Inter-organizational (dyadic) level; meso-level	Key-informant survey responses anchored to one focal client-supplier relationship; primary data, N = 80; published national cultural indices used to operationalize cultural distance; secondary data
Article 4: Binding supply chain due diligence regulation and MCS reconfiguration	Qualitative multiple-case study; semi-structured interviews; thematic analysis; cross-case comparison	Case firm, with analytical focus on the reconfiguration of MCS packages in response to the binding supply chain due diligence regulation (LkSG)	Organizational level; meso-level; firm responses to macro-level regulatory pressure	Interview transcripts from 14 professionals across 11 MNCs; primary data; LkSG regulatory documents; secondary data

Table 2. Overview of the methodological approach, unit of analysis, level of analysis, and unit of observation for each article.

4.3 Data Collection, Analysis, and Research Reasoning

4.3.1 Data Collection

Data were collected across the four articles in ways that reflect the purpose and design of each study and the dissertation's broader focus on the configuration and reconfiguration of MCS packages in global supply chains.

Article 1 is based on a structured literature review of research on management control in offshoring. The search was conducted in Business Source Premier, Scopus, and OneSearch (EBSCO Discovery Service). The review focused primarily on peer-reviewed journal articles published between 1993 and 2023 and available in full text in English. The selected articles were classified according to the ABS Academic Journal Guide. Research papers not published in ABS-listed journals were also included when they met the predefined inclusion criteria and were cited in ABS-listed journals. Because the article focuses on management control in offshoring, trust and culture were not used as standalone search terms. Instead, their relationships with MCS and offshoring were examined within the selected literature. After title and abstract screening, followed by full-text assessment against the inclusion criteria, the final review sample comprised 74 articles.

Article 2 draws on a cross-sectional survey of Swedish client firms engaged in offshore outsourcing relationships with independent foreign suppliers. Respondents were asked to report on one client–supplier relationship, which made it possible to examine management control within a specific relationship. The final sample consisted of 55 relationships. The questionnaire used established multi-item measures to capture formal and informal controls, competence trust, goodwill trust, cultural competency, relationship continuity, as well as offshoring success.

Article 3 draws on a cross-sectional survey of Dutch client firms engaged in offshore outsourcing relationships with independent suppliers. As in

Article 2, respondents reported on one client–supplier relationship. The final sample consisted of 80 relationships. The survey captured governance costs, distinguished as control costs and coordination costs, as well as formal and informal controls, competence and goodwill trust, task complexity, and task interdependence. Cultural distance was operationalized as a country-pair construct based on Hofstede's national cultural dimensions and linked to each reported offshore outsourcing relationship.

Article 4 draws on a qualitative multiple-case study of German-based multinational manufacturing corporations with more than 1,000 employees and exposure to Germany's Supply Chain Due Diligence Act. Firms were selected purposively, complemented by snowball sampling to reach additional informants with more direct responsibility or expertise. Informants were recruited based on their direct involvement in sustainability governance and supply chain due diligence (e.g., procurement and supply chain management, sustainability, compliance management). Data were collected through semi-structured online interviews, audio-recorded with consent, transcribed, and returned to participants for validation. The final dataset comprises interviews with 14 professionals across 11 multinational corporations (MNCs).

Together, the four articles draw on complementary forms of evidence. This combination enables the dissertation to examine how MCS packages are configured and reconfigured in relation to performance and sustainability compliance in global supply chains.

4.3.2 Analytical Approaches and Techniques

The four articles use different analytical approaches because they address different aspects of the dissertation's research purpose. Article 1 develops the conceptual foundation, Articles 2 and 3 examine cross-sectional patterns in offshore outsourcing relationships, and Article 4 examines

how firms reconfigure MCS packages under binding supply chain due diligence regulation.

In Article 1, the analysis involved systematic coding of the selected literature. Key constructs, theoretical perspectives, research methods, and findings were extracted from the reviewed articles and organized thematically. The thematic synthesis focused on how formal and informal controls, trust, culture, and relationship development are discussed in relation to offshoring performance. The analysis resulted in a conceptual framework proposing how MCS packages may change over time as offshoring relationships develop and as trust and cultural understanding evolve.

Article 2 uses fsQCA to identify configurations of formal and informal controls and contextual factors associated with offshoring success and with offshoring failure. The survey data were calibrated into fuzzy-set membership scores using explicit thresholds informed by the empirical distribution and set-theoretic guidance (Ragin, 2008; Schneider & Wagemann, 2012). The analysis proceeded through necessity analysis, truth table construction, and sufficiency analysis. The resulting solutions were interpreted using consistency and coverage, with attention to equifinality and causal asymmetry.

Article 3 uses PLS-SEM to examine associations among cultural distance, execution-level factors, and governance costs. The measurement model was assessed for reliability, convergent validity, and discriminant validity (Fornell & Larcker, 1981; Hair et al., 2017, 2019), and potential common method bias and nonresponse bias were examined (Armstrong & Overton, 1977; Podsakoff et al., 2003). Governance costs were modeled as two distinct outcomes: control costs and coordination costs. The model includes formal and informal controls, competence and goodwill trust, task complexity, and task interdependence. To examine whether the association between cultural distance and governance costs was nonlinear, a quadratic term for cultural distance was included. Cultural distance was operationalized using a country-pair measure based on

Hofstede's national cultural dimensions and calculated using standardized Euclidean distance.

Article 4 analyzes the interview transcripts using thematic analysis, combining deductive coding informed by the MCS package framework of Malmi and Brown (2008) and the sustainability integration model of Gond et al. (2012) with inductive coding to capture emergent themes (Braun & Clarke, 2006). The codes were consolidated into themes concerning adaptations of different control types, sustainability integration pathways, and variations in firms' responses to binding sustainability regulation. Cross-case comparison was used to identify common adaptation patterns and differences across firms.

4.3.3 Evidence Integration and Scope of Inference

The dissertation treats the four articles as contributing complementary forms of evidence to a cumulative explanation of how MCS packages are configured and reconfigured in global supply chains.

Article 1 provides the conceptual starting point. By synthesizing prior research, it identifies the key constructs and explanatory relationships that inform the subsequent empirical studies. In particular, it develops the conceptual basis for considering MCS packages, trust, culture, and relationship development together when examining offshoring performance. Articles 2 and 3 then examine related issues empirically in offshore outsourcing relationships. Article 2 identifies configurations of formal and informal controls, competence trust, goodwill trust, cultural competency, and relationship continuity that are associated with offshoring success and offshoring failure. Article 3 focuses on governance costs and examines whether cultural distance retains explanatory power after more proximate execution-level factors are included. These two quantitative studies therefore provide evidence on cross-sectional configurations and associations within client–supplier relationships, but through different analytical logics.

Article 4 extends the empirical analysis to the reconfiguration of MCS packages under binding supply chain due diligence regulation. Although the empirical focus shifts from offshoring performance to sustainability compliance, the article remains connected to the dissertation's central concern with how MCS packages are configured and reconfigured in global supply chains. It provides qualitative insight into how binding supply chain due diligence regulation is translated into control practices and how firms' responses differ according to organizational conditions.

The integration across the articles follows a cumulative logic without treating the different forms of evidence as interchangeable. The findings are interpreted within the boundaries of their respective analytical logics and empirical scopes. Together, these forms of evidence support a cautious and differentiated explanation of how MCS packages are configured and reconfigured in global supply chains.

4.4 Research Quality and Ethical Considerations

Research quality was addressed in ways appropriate to the different forms of evidence used in the dissertation. Because the dissertation combines a structured literature review, two survey-based studies—one using fsQCA and one using PLS-SEM—and a qualitative multiple-case study, a single set of quality criteria would be too narrow. Instead, research quality was assessed in relation to the purpose and design of each article. Across the dissertation, emphasis was placed on transparent research procedures, clear definition and operationalization of constructs, consideration of plausible alternative explanations, and alignment among the research questions, data sources, and analytical techniques (Creswell & Clark, 2011; Lincoln & Guba, 2000; Morgan, 2007; Saunders et al., 2009). This approach is also consistent with the dissertation's critical realist orientation. Since the aim is not to establish context-free causal laws but rather to develop explanations within specified conceptual and empirical boundaries, research quality does not depend only on measurement quality and procedural rigor but also on the strength of the explanations

developed from the evidence. The findings are therefore interpreted in light of their empirical scope, methodological limitations, and theoretical plausibility (Bhaskar, 2013; Danermark et al., 2019; Sayer, 2000).

Article 1 supports conceptual rigor through a structured and transparent review process. The use of a structured search strategy, explicit inclusion criteria, screening procedures, and thematic coding strengthens traceability and reduces the risk of selective use of the literature. By organizing prior research around formal and informal controls, trust, culture, relationship continuity, and stages of offshoring relationships, the review provides a conceptual basis for selecting key constructs examined in Articles 2 and 3.

In Article 2, particular attention was given to the quality requirements of fsQCA. Calibration decisions were made explicit, membership thresholds were reported, and the analysis followed established criteria for necessity and sufficiency assessment, including frequency and consistency thresholds (Pappas & Woodside, 2021; Ragin, 2008). Predictive validity was also examined through a holdout-sample procedure to assess whether configurations derived from one subsample retained acceptable consistency and coverage when applied to another subsample (Pappas & Woodside, 2021; Sukhov et al., 2023).

In Article 3, research quality was addressed through evaluation of the measurement model and the structural model. Reliability, convergent validity, and discriminant validity were assessed using established criteria, and potential common method bias and nonresponse bias were examined through standard diagnostic procedures (Armstrong & Overton, 1977; Fornell & Larcker, 1981; Hair et al., 2017, 2019; Podsakoff et al., 2003). This made it possible to assess whether cultural distance retained explanatory power after more proximate execution-level factors were included, rather than treating cultural distance as an isolated explanatory factor. Robustness was further examined through alternative operationalizations of cultural distance and tests of possible nonlinearity using a quadratic specification.

Article 4 addresses trustworthiness through procedures associated with qualitative case research. Credibility is enhanced by the purposive selection of informants with relevant responsibilities for LkSG-related governance, the use of semi-structured interviews, and participant review of interview transcripts to verify their accuracy (Murphy & Yielder, 2010). Dependability and confirmability are strengthened through iterative coding that combines deductive and inductive approaches, the use of a structured codebook informed by established theoretical frameworks, memo-writing, and cross-case comparison (Braun & Clarke, 2006; Gond et al., 2012; Malmi & Brown, 2008; Yin, 2013). Themes were iteratively refined to capture adaptations across control types and sustainability integration pathways. Transferability is facilitated by a detailed account of the regulatory context (i.e., LkSG), a clear delineation of the empirical setting (German-based multinational manufacturing corporations), and discussion of the organizational contingencies (e.g., digital maturity, supply chain complexity, supplier risk profiles, and relationship maturity) that shape the adaptation patterns.

Ethical considerations were addressed across the empirical studies in accordance with institutional requirements and established research ethics principles. Articles 2, 3, and 4 were reviewed by the Ethics Committee at Karlstad University, Sweden, and received exemption from full ethical review because the studies did not involve interventions and did not collect special categories of personal data. Informed consent was obtained from all participants. Participation was voluntary, and participants were informed about the purpose of the study, the intended use of the data, and their right to withdraw. Survey findings were reported in aggregate form. In the qualitative study, participants were described only by professional role rather than by name to reduce the likelihood of identification. The registration numbers for the ethical review and exemption decisions are HS 2024/671, HS 2025/902, and HS 2024/1018, respectively. Overall, these procedures support the ethical integrity of the research and the responsible collection and reporting of the data.

5. Summary of Appended Articles

This chapter summarizes the four appended articles and clarifies how each study contributes to the dissertation's research purpose, that is, to develop a better understanding of how MCS packages are configured and, when required, reconfigured in global supply chains. A consolidated overview in Table 3 shows how the articles address the two outcome domains of offshoring performance and sustainability compliance under binding supply chain due diligence regulation.

5.1 Article 1

Rasaei, J. (2025). Conceptual Framework for Offshoring Performance Through Management Control Systems, Trust and Culture. *Australian Accounting Review, 35(2),* 160-186.

This article develops a lifecycle-based conceptual framework to explain how management control relates to offshoring performance and how this relationship is conditioned by trust and culture. Drawing on TCT, SET, and CT, and consistent with an MCS package perspective, the framework is developed through a structured synthesis of 74 articles on offshoring governance and management control. It proposes that offshoring governance evolves across relationship stages—initial, transition, and mature—and that the relative emphasis placed on formal and informal controls tends to shift as relationships develop.

During the early stages, formal controls are emphasized to manage uncertainty and information asymmetry. As relationships mature, goodwill trust and cultural understanding can support greater reliance on informal controls, with formal controls retained as a baseline "safety net" that keeps responsibilities and performance standards clear and supports adherence to agreed obligations. A central argument is that goodwill trust and cultural understanding condition whether control arrangements support collaboration and performance, including whether the relative

emphasis can shift from predominantly formal safeguarding toward more flexible coordination and cooperation as relationships mature.

This article provides the conceptual foundation for the dissertation's view of offshoring governance from an MCS package perspective, in which the effectiveness of control arrangements is conditioned by contextual factors and relationship development.

5.2 Article 2

Rasaei, J., & Sukhov, A. The Configurational Logic of Management Control: Exploring Pathways to Offshoring Performance. (under review)

This article examines how configurations of formal and informal controls, considered together with contextual factors, are associated with offshoring success and offshoring failure. Building on a configurational perspective, it treats control in offshore outsourcing relationships as conjunctural, equifinal, and causally asymmetric. Using fsQCA on survey data from 55 offshore outsourcing relationships reported by Swedish client firms, the analysis identifies two sufficient configurations associated with offshoring success. Both share social control, goodwill trust, and relationship continuity as core conditions. The first configuration additionally includes outcome control, self-control, competence trust, and cultural competency as peripheral conditions, with behavioral control as a "don't care" condition. The second configuration includes competence trust as a peripheral condition, while outcome control, behavioral control, self-control, and cultural competency are absent. By contrast, configurations associated with offshoring failure are characterized by the joint absence of social control, goodwill trust, and relationship continuity. These results indicate that offshoring success and offshoring failure follow distinct configurational logics rather than representing mirror-image patterns.

This article provides the dissertation's configurational evidence by showing that multiple configurations of formal and informal controls, together with contextual factors, can be associated with offshoring success, whereas offshoring failure follows a distinct rather than inverse configurational logic.

5.3 Article 3

Rasaei, J. Governance Costs in Offshore Outsourcing: The Role of Cultural Distance. (in manuscript)

This article examines whether cultural distance is associated with client-side governance costs in offshore outsourcing and whether it retains explanatory power once more proximate execution-level factors are taken into account. Drawing on TCT and CT, and adopting an MCS package perspective, the study distinguishes between control costs and coordination costs. Using PLS-SEM on survey data from 80 offshore outsourcing relationships reported by Dutch client firms, the analysis examines both linear and nonlinear associations between cultural distance and governance costs.

The analysis shows that aggregate cultural distance is not robustly associated with either control costs or coordination costs once execution-level factors are included. Instead, governance costs are significantly associated with control arrangements and task characteristics. Formal controls are associated with control costs, task complexity is associated with both control costs and coordination costs, and task interdependence is associated with coordination costs. Informal controls, competence trust, and goodwill trust do not show significant association with either type of governance costs. Overall, the findings shift explanatory emphasis from aggregate cultural distance toward the control arrangements used to govern offshore outsourcing relationships and the characteristics of the outsourced work.

This article contributes to the dissertation by showing that the costs associated with operating MCS packages are better understood through execution-level factors than through cultural distance alone.

5.4 Article 4

Rasaei, J. (2026). Sustainability and Regulatory Compliance in Management Control Systems: Insights from Germany's Supply Chain Due Diligence Act. *Sustainability Accounting, Management and Policy Journal, 17(7)*, 1–25.

This article investigates how German-based MNCs reconfigure their MCS packages to comply with Germany's Supply Chain Due Diligence Act (LkSG), with a focus on human rights and environmental risks in global supply chains. The study uses a qualitative multiple-case design based on semi-structured interviews with 14 professionals across 11 MNCs. The analysis follows a hybrid thematic approach informed by Malmi and Brown's MCS package typology and Gond et al.'s sustainability integration model, interpreted through the lenses of IT and CT. The article examines adaptations across planning, administrative, cybernetic, cultural, and reward and compensation controls.

The findings show that firms translate LkSG requirements into adaptation across multiple control types and that these adaptations align with technical, organizational, and cognitive integration pathways. The study introduces the concept of adaptation logic to explain patterned variation in how firms implement binding supply chain due diligence regulation across control types and organizational contexts. Some control adaptations show convergence across firms under coercive or normative institutional pressures, whereas others vary according to organizational contingencies such as governance structures, supply chain complexity, and digital maturity. The article characterizes these patterns as uniform and hybrid adaptation logics.

This article provides qualitative evidence of how MCS packages are reconfigured under binding supply chain due diligence regulation and how institutional pressures and organizational contingencies shape that reconfiguration in global supply chains.

Article	What the study explains	Theoretical or analytical perspective	How MCS package configuration and reconfiguration are addressed	Outcome domain addressed
1 Conceptual framework	How management control relates to offshoring performance across relationship stages and how contextual factors condition its effectiveness	TCT, SET, CT	MCS package configuration conceptualized through formal and informal controls and proposed shifts in control emphasis as relationships develop	Offshoring performance
2 Configurational pathways	Which configurations of controls, considered together with contextual factors, are associated with offshoring success and offshoring failure	Configurational perspective	MCS package configurations examined through combinations of formal controls (outcome and behavioral control) and informal controls (social and self-control)	Offshoring performance (offshoring success and offshoring failure)
3 Governance costs	Whether cultural distance adds explanatory power for control costs and coordination costs after execution-level factors are included	TCT, CT	MCS package configuration conceptualized through formal and informal controls and examined in terms of their implications for governance costs	Governance costs as a cost side of offshoring performance
4 Supply chain due diligence compliance	How firms reconfigure MCS packages to comply with binding supply chain due diligence regulation and why reconfiguration varies across firms	IT, CT	MCS package reconfiguration examined across Malmi and Brown's planning, administrative, cybernetic, cultural, and reward and compensation controls	Sustainability compliance through due diligence routines, traceability, monitoring, and grievance mechanisms under the LkSG

Table 3. Alignment of the appended articles with the dissertation's research purpose and outcome domains.

6. Findings

This chapter synthesizes the findings across the four articles to address the dissertation's research purpose, which is to develop a better understanding of how MCS packages are configured, and when required, reconfigured in global supply chains, with particular attention to offshoring. The synthesis draws together conceptual development, configurational evidence, structural equation modeling, and qualitative case evidence across the dissertation's two outcome domains, offshoring performance and sustainability compliance.

6.1 Configuring MCS Packages for Offshoring

Across the dissertation, the findings indicate that control in offshoring relationships is better understood through an MCS package perspective than through isolated control mechanisms. Firms rely on combinations of formal and informal controls, and the relevance of any individual control mechanism for offshoring performance depends on how it is combined with other controls and the conditions of the relationship. Article 1 develops this perspective conceptually by treating formal and informal controls as elements of an MCS package. Formal controls provide structure, monitoring, and accountability, whereas informal controls support cooperation and mutual adjustment in day-to-day collaboration. The conceptual framework proposes that the relevance of each control mechanism depends both on how it is combined with other control mechanisms and on contextual factors, particularly goodwill trust, cultural understanding, and relationship continuity.

Article 2 provides configurational evidence for this package perspective. The fsQCA analysis identifies two sufficient configurations associated with offshoring success and four sufficient configurations associated with offshoring failure. As for offshoring success, the first pathway is a hybrid configuration, in which outcome control combines with social control and self-control, alongside competence trust, goodwill trust, cultural

competency, and relationship continuity. The second pathway is more relationally anchored. Social control combines with competence trust, goodwill trust, and relationship continuity, while outcome control, behavioral control, self-control, and cultural competency are all absent from the sufficient configuration. As for offshoring failure, all four failure configurations are characterized by the joint absence of social control, goodwill trust, and relationship continuity. Outcome control, competence trust, and cultural competency are each absent in three of the four failure configurations and are a "don't care" condition in one, while the presence or absence of behavioral control and self-control varies across them.

These findings show conjunctural causation. The relevance of an individual control mechanism in configurations associated with offshoring success or offshoring failure depends on the other control mechanisms and contextual factors it is combined with, not on its presence alone. This is particularly evident in one failure configuration, where behavioral control and self-control are present, yet social control, goodwill trust, and relationship continuity are all absent. The presence of individual control mechanisms is therefore not sufficient to explain the outcome; rather, what matters is the wider MCS package configuration and the contextual factors alongside which those control mechanisms occur.

The findings also point to equifinality, as multiple sufficient configurations are associated with offshoring success and offshoring failure. Two distinct configurations are associated with offshoring success, whereas four distinct configurations are associated with offshoring failure. The two success configurations share social control, competence trust, goodwill trust, and relationship continuity as common conditions but differ in the presence or absence of outcome control, behavioral control, self-control, and cultural competency. The failure configurations likewise differ in the presence or absence of several conditions, despite sharing the absence of social control, goodwill trust, and relationship continuity. In other words, there is more than one sufficient pathway to both offshoring success and offshoring failure.

Article 2 further illustrates causal asymmetry. The configurations associated with offshoring failure are not simply the inverse of those associated with success. Offshoring success and offshoring failure must therefore be examined through their own respective configurations, rather than by assuming that the conditions associated with one outcome are the mirror image of those associated with the other.

Articles 1 and 2 address MCS package configuration from complementary perspectives. Article 1 provides a conceptual account of how formal and informal controls function as parts of an MCS package, and Article 2 identifies the cross-sectional configurations of controls and contextual factors that are associated with offshoring success and offshoring failure.

6.2 Contextual Factors: Trust, Culture, and Relationship Continuity

In this dissertation, trust, culture, and relationship continuity are treated as contextual factors that operate alongside the control mechanisms included in MCS packages. They are not control mechanisms themselves; instead, the articles examine how their presence, absence, or development is related to the relevance of formal and informal controls in offshoring relationships.

Article 1 conceptually positions goodwill trust, cultural understanding, and relationship continuity as contextual factors that support changes in the relative emphasis placed on formal and informal controls as offshoring relationships develop. The framework proposes that when goodwill trust, cultural understanding, and expectations of relationship continuity are limited, formal controls assume greater relevance. As goodwill trust and cultural understanding develop and expectations of relationship continuity strengthen, greater reliance on informal controls may become possible, while formal controls remain relevant as baseline safeguards.

Article 2 provides configurational evidence on trust, cultural competency, and relationship continuity. Both configurations associated with

offshoring success include competence trust, goodwill trust, social control, and relationship continuity. In the first configuration, these conditions are combined with outcome control, self-control, and cultural competency. In the second, more relationally anchored configuration, outcome control, behavioral control, self-control, and cultural competency are absent from the sufficient configuration. Across all four configurations associated with offshoring failure, social control, goodwill trust, and relationship continuity are absent. Outcome control, competence trust, and cultural competency are each absent in three of the four failure configurations and are a "don't care" condition in one. These results indicate that the presence of individual control mechanisms is not sufficient to account for offshoring success or failure without considering the wider configuration of controls and contextual factors.

Article 3 examines trust through a different analytical approach. In the full PLS-SEM model, competence trust and goodwill trust do not show significant associations with either control costs or coordination costs when modeled alongside formal and informal controls, task complexity, and task interdependence. The analysis therefore provides no evidence in this sample that competence trust or goodwill trust is directly associated with governance costs. Article 4 extends the findings on trust to sustainability compliance. Here, trust is described as a complement to formal compliance mechanisms rather than as a substitute for them. Competence-based trust was described as developing through audits, ESG assessments, and certifications, while relational or goodwill trust developed through responsiveness, interaction, and mutual learning. Even in long-standing supplier relationships, formal monitoring, documentation, and evidence remained necessary for compliance.

The articles also examine culture through different constructs. Article 1 uses cultural understanding to describe the capability to recognize and interpret culturally grounded differences and to consider those differences when selecting and adapting control mechanisms in client–supplier relationships. Article 2 operationalizes culture as cultural competency. Cultural competency is present in the hybrid configuration

associated with offshoring success, absent from the relationally anchored success configuration, and absent in three of the four configurations associated with offshoring failure, with a "don't care" status in the remaining one. Article 3 examines aggregate cultural distance and finds that its positive association with control costs in the parsimonious model does not remain significant once execution-level factors are included in the full model. Overall, the articles provide evidence concerning cultural understanding, cultural competency, and aggregate cultural distance rather than treating them as interchangeable constructs.

With respect to relationship continuity, Article 1 conceptually proposes that relationship continuity may shape the relative emphasis placed on formal and informal controls as offshoring relationships develop. Article 2 provides configurational evidence consistent with this argument in the sense that relationship continuity is present in both configurations associated with offshoring success and absent from all four configurations associated with offshoring failure. Article 3 does not test relationship continuity directly but includes relationship longevity, defined as the duration of the client–supplier relationship, as a control variable, which showed no significant association with either control costs or coordination costs. Likewise, Article 4 does not treat relationship continuity as a distinct analytical construct, though the qualitative evidence indicates that even in long-standing supplier relationships, formal monitoring and documentation remained necessary.

6.3 Governance Costs in Offshoring

Article 3 brings the cost side of governance into the synthesis as a practical constraint on the efficiency benefits expected from offshore outsourcing. The findings indicate that governance costs—control costs and coordination costs—are associated with more proximate execution-level factors, whereas aggregate cultural distance is not robustly associated with either type of governance costs. When aggregate cultural distance is modeled alone, in a parsimonious model, it shows a positive association

with control costs. Nonetheless, this association does not remain significant when execution-level factors are included in the full model. This suggests that aggregate cultural distance has limited additional explanatory power once more proximate factors, particularly formal controls and task characteristics, are considered.

Formal controls are significantly associated with control costs. Task complexity is significantly associated with both control costs and coordination costs, while task interdependence is significantly associated with coordination costs. Informal controls, competence trust, and goodwill trust do not show significant association with either type of governance costs. Article 3 thus shows that the control mechanisms examined as elements of the MCS package and the characteristics of the outsourced work are associated with recurring control and coordination effort, which, in turn, may constrain the efficiency benefits expected from offshore outsourcing.

6.4 Reconfiguring MCS Packages Through Relationship Development and Binding Supply Chain Due Diligence Regulation

The dissertation points to two bases for MCS package reconfiguration: relationship development in offshoring performance and binding supply chain due diligence regulation in sustainability compliance.

First, Article 1 conceptually proposes that the relative emphasis placed on control mechanisms tends to shift across the initial, transition, and mature stages of an offshoring relationship. In the initial stage, high uncertainty, information asymmetry, limited trust, and cultural unfamiliarity increase the relevance of formal controls, including contractual specification, performance monitoring, and behavioral oversight. In this stage, the reinforcing effects of relationship continuity on trust and cultural understanding have not yet had the opportunity to develop. In the transition stage, repeated interaction, developing trust, and cultural understanding support a hybrid configuration in which

informal controls complement formal controls. In the mature stage, goodwill trust and cultural understanding allow greater reliance on informal controls, while formal controls remain relevant as baseline safeguards. Article 1 therefore proposes that the MCS package may be reconfigured as relationship conditions evolve across the stages of an offshoring relationship through changes in the relative emphasis placed on formal and informal controls.

Second, Article 4 shows that binding supply chain due diligence requirements (e.g., LkSG) constitute a distinct basis for MCS package reconfiguration. Here, reconfiguration is not prompted by relationship development but by legally enforceable requirements that raise documentation and evidentiary requirements and extend the scope of control beyond first-tier suppliers. Under binding supply chain due diligence regulation, firms reconfigure MCS packages to support traceability, accountability, escalation, and auditable evidence generation across supply chain tiers. Binding supply chain due diligence regulation therefore does not only affect the intensity or formalization of control but also affects which control types are emphasized and how they are connected, because firms must expand monitoring scope, formalize responsibilities, and establish documented routines that can withstand scrutiny and demonstrate compliance.

The findings from Article 4 indicate that firms do not simply add sustainability indicators to pre-existing MCS packages. Instead, they adapt planning, administrative, cybernetic, cultural, and reward and compensation controls. Planning controls become more responsive to sustainability risks, for example through enterprise resource planning (ERP)-linked tools and regulatory foresight that incorporate due diligence priorities into resource allocation, though implementation varies with supply chain complexity and digital maturity. Administrative controls provide the organizational basis for compliance by formalizing responsibilities, procedures, and cross-functional coordination, although firms differ in whether responsibilities are distributed across existing functions or assigned to dedicated roles or units.

Cybernetic controls show notable similarities across the case firms. Firms embed ESG indicators in KPI dashboards, develop digitally supported monitoring and feedback processes, and formalize grievance mechanisms that can function as escalation triggers. Cultural controls support cognitive integration through training, internal communication, leadership framing, and collaborative supplier engagement. Reward and compensation controls display a differentiated internal–external pattern. Internally, ESG targets may be linked to appraisal and bonus systems, while externally, firms generally avoid providing financial rewards for supplier compliance and instead use selective symbolic recognition and reputational mechanisms.

To characterize these cross-firm patterns, Article 4 introduces the concept of adaptation logic. Across the five control types, adaptation is either relatively uniform or hybrid. Cybernetic and cultural controls display comparatively uniform adaptation, meaning that similar changes recur across firms with limited variation. Cybernetic controls converge mainly under coercive pressure to meet legal requirements, whereas cultural controls converge through normative pressure, reflecting shared professional norms and ethical commitments. Planning, administrative, and reward and compensation controls display hybrid patterns that combine institutional pressure with contingency-based variation. For planning controls and administrative controls, the hybrid adaptation reflects coercive pressure. For planning controls, the variation is tied to digital maturity and supply chain complexity, and for administrative controls, to organizational structures and resource capacities. For reward and compensation controls, the hybrid adaptation reflects normative pressure, combined with variation shaped by firm-specific strategic and relational priorities.

Put together, the findings of this dissertation show that understanding MCS packages in global supply chains requires attention to which control mechanisms are used, how they are combined and adapted, the contextual and regulatory conditions under which they operate, and the governance effort associated with their use.

7. Discussion and Conclusion

This chapter discusses the dissertation's findings and presents their theoretical and practical implications for management control in global supply chains. It argues that management control in offshoring is better understood through configurations of formal and informal controls and that the relevance of any individual control mechanism depends on how it is combined with other controls within the MCS package and on the conditions of the relationships. It also examines how MCS packages may be reconfigured as relationship conditions evolve across the stages of offshoring relationships and as binding supply chain due diligence regulation extends the scope of control across supply chain tiers. The chapter further discusses how governance costs are associated with more proximate execution-level factors. It concludes by acknowledging the dissertation's limitations and identifying directions for future research.

7.1 MCS Package Configuration in Offshoring

Management control research has long argued that firms rely on multiple controls in combination rather than in isolation (Bedford et al., 2016; Malmi & Brown, 2008). This dissertation extends this perspective to offshoring by showing that the central issue is not simply whether several controls are present, but how formal and informal controls are combined and how these control arrangements relate to relevant contextual factors. From a TCT perspective, offshore outsourcing relationships create safeguarding and monitoring demands because control has to be exercised across organizational and national boundaries under bounded rationality, information asymmetry, limited observability, and contractual incompleteness (Handley & Benton, 2013; Williamson, 1985). SET complements this explanation by clarifying why trust, reciprocity, and expectations of continued collaboration are relevant to the operation of informal controls and relational coordination (Das & Teng, 2001; Gulati, 1995; Poppo & Zenger, 2002; Sako, 1992). CT further explains why there is no universally effective control design, meaning the relevance of

control mechanisms depends on the relational and cultural conditions of the offshoring relationship as well as on the characteristics of the outsourced work (Chenhall, 2003; Donaldson, 2001; Otley, 2016).

This dissertation provides empirical support for connecting the MCS package perspective with configurational reasoning in offshoring by examining how controls and contextual factors combine in configurations associated with offshoring performance. The identification of two sufficient configurations associated with offshoring success supports the view that no single control design is universally applicable across offshoring relationships. This configurational contribution can be understood through conjunctural causation, equifinality, and causal asymmetry (Fiss, 2011; Ragin, 2008). Conjunctural causation means that the relevance of an individual control mechanism or contextual factor depends on the wider configuration in which it occurs. Equifinality is reflected in the identification of multiple configurations associated with offshoring success, and causal asymmetry is evident because the configurations associated with offshoring failure are not simply the inverse of those associated with offshoring success. Together, these principles redirect theoretical attention from the net effects of isolated variables toward configurations of controls and contextual factors.

As stated, in this dissertation, the package perspective is used as an organizing concept rather than as a strong system claim. The dissertation does not provide evidence that all control mechanisms statistically interact or that particular control mechanisms necessarily complement or substitute for one another (Grabner & Moers, 2013). Its contribution lies instead in showing how control mechanisms are combined and how these combinations occur alongside relevant contextual factors, thereby providing a more differentiated explanation of offshoring performance than the analysis of individual control mechanisms in isolation.

7.2 The Role of Contextual Factors in Offshoring

This dissertation supports CT's core claim that there is no universally effective control design and that the relevance of control mechanisms depends on contextual conditions (Chenhall, 2003; Donaldson, 2001; Otley, 2016). It develops this argument in the context of offshoring by treating trust, culture, and relationship continuity as contextual factors that should be considered in relation to formal and informal controls when examining MCS package configuration. These factors are therefore not merely background conditions surrounding a predetermined control design. Rather, they form part of the context within which an MCS package is configured and operated.

7.2.1 Trust

Trust shapes the conditions under which formal and informal controls operate in offshoring relationships. This position is consistent with research on inter-organizational governance, which argues that trust reduces concerns about opportunistic behavior, supports cooperation under uncertainty, and facilitates exchange where contracts are inevitably incomplete (Das & Teng, 2001; Gulati, 1995; Morgan & Hunt, 1994; Sako, 1992). This dissertation develops this argument by treating trust as a contextual factor whose relevance depends on the configuration of control mechanisms and other contextual factors with which it occurs.

The dissertation contributes to the debate over whether trust and control operate as substitutes or complements. Some research suggests that development of trust through repeated interaction can reduce reliance on monitoring and contractual enforcement (Gulati, 1995; van der Meer-Kooistra & Vosselman, 2000). Other studies argue that trust and control can coexist and support different aspects of inter-organizational governance (Das & Teng, 2001; Poppo & Zenger, 2002). Taken together, the findings of this dissertation are more consistent with the latter position.

This complementarity view of trust and control is reflected across the dissertation's two outcome domains. In the offshoring performance domain, the conceptual framework suggests that trust supports relational coordination and may enable greater reliance on informal control, while formal controls remain as baseline safeguards. Under binding supply chain due diligence regulation, trust may facilitate supplier cooperation, responsiveness, and information exchange, but it cannot replace documentation, verification, traceability, or accountability. Even in established (i.e., long-standing) supplier relationships, evidence of compliance remains necessary. This is consistent with IT, which suggests that binding regulatory pressure increases demands for auditable and formally documented controls (DiMaggio & Powell, 1983; Scott, 2014).

The dissertation also supports the distinction between competence trust and goodwill trust (Das & Teng, 2001; Nooteboom, 1996). Competence trust concerns confidence in the supplier's technical and operational capabilities, whereas goodwill trust concerns confidence that the supplier will act cooperatively and refrain from opportunistic behavior. The configurational findings indicate that these dimensions should not be merged into a single trust construct. Both competence trust and goodwill trust are present in the two configurations associated with offshoring success. Goodwill trust is absent from all configurations associated with failure, whereas competence trust is absent from three of the four failure configurations and is a "don't care" condition in the remaining one. This pattern indicates that the two dimensions have distinct configurational relevance and should be analyzed separately.

The governance cost findings establish an important boundary to this argument. Neither competence trust nor goodwill trust shows a significant direct association with control costs or coordination costs when modeled alongside formal control, informal control, task complexity, and task interdependence. The configurational relevance of trust for offshoring performance should thus not be interpreted as evidence that higher levels of trust directly reduce governance costs. These findings are not contradictory because the studies examine different outcomes and

analytical approaches. The fsQCA analysis assesses the relevance of trust within configurations associated with offshoring performance, whereas the PLS-SEM analysis estimates its direct association with governance costs.

7.2.2 Culture

Building on critiques of cultural distance as an imperfect proxy for the mechanisms through which culture affects inter-organizational relationships (Shenkar, 2001; Stahl & Tung, 2015), the dissertation distinguishes cultural distance from cultural understanding and cultural competency. These concepts operate at different levels of analysis and should not be treated as interchangeable. Cultural distance captures broad differences between the national contexts of client firms and offshore suppliers (Hofstede, 2001; Kogut & Singh, 1988). Cultural understanding refers to the capability to recognize and interpret culturally grounded differences and to consider those differences when selecting and adapting control mechanisms in client–supplier relationships (Doney et al., 1998; Schoenherr et al., 2015; Wibisono et al., 2019). Cultural competency, by contrast, refers to the capability to adapt communication, coordination, and other interaction practices in response to cultural differences (Beugré & Acar, 2008; Wibisono et al., 2019).

The conceptual and configurational findings indicate that cultural understanding and cultural competency have contextual relevance for MCS package configuration. The conceptual framework positions cultural understanding as a condition that may enable firms to select and adapt formal and informal controls in ways that are more appropriate to the cultural context as an offshoring relationship develops. The configurational analysis shows that cultural competency is present in one configuration associated with offshoring success but absent from the other. Among the configurations associated with offshoring failure, cultural competency is absent in three of the four configurations and a "don't care" condition in the remaining one. Cultural competency is

therefore relevant within particular configurations rather than being a common feature of every configuration associated with offshoring success. The dissertation extends prior research on cultural interpretation and adaptation by positioning these cultural capacities within wider configurations of controls and contextual factors.

Cultural distance presents a different pattern. The governance cost analysis does not show a robust association between cultural distance and either control costs or coordination costs once formal control, informal control, trust, task complexity, and task interdependence are included in the model. This finding does not imply that national cultural differences are irrelevant. Rather, consistent with critiques of composite distance measures (Shenkar, 2001; Stahl & Tung, 2015), it indicates that cultural distance does not directly capture the interpretive and relational processes through which client firms recognize and manage cultural differences within specific offshoring relationships.

Taken together, the dissertation positions culture as a multidimensional contextual factor rather than as a single or deterministic explanation of offshoring outcomes. Cultural understanding and cultural competency concern more proximate relationship-level conditions, whereas cultural distance represents a more distal country-level condition. Because the empirical analyses adopt a client-side perspective, the findings do not show how offshore suppliers perceive or respond to the same cultural differences.

7.2.3 Relationship Continuity

The dissertation contributes to research on relationship continuity in offshoring governance by positioning expectations of continued collaboration as a contextual factor in relation to the MCS package. Prior research has emphasized how expectations of future exchange support cooperation, investment in the relationship, and relational governance (Carson et al., 2006; Gulati, 1995; Wibisono et al., 2019). This dissertation

develops this argument by examining relationship continuity as part of wider configurations of formal and informal controls, trust, and cultural conditions.

The configurational findings provide empirical support for this argument. Relationship continuity is present in both configurations associated with offshoring success and absent from all configurations associated with offshoring failure. This pattern indicates that expectations of continued collaboration form part of the relationship conditions associated with offshoring success. Their relevance, however, cannot be separated from the other control mechanisms and contextual factors included in each configuration.

Put differently, the findings do not imply that expectations of continued collaboration necessarily produce successful outcomes or have the same relevance across all control arrangements. Rather, the relevance of relationship continuity is configurational and depends on the broader conditions of the offshoring relationship. Relationship continuity therefore does not independently account for offshoring success. Conceptually, relationship continuity also has temporal relevance because expectations of continued collaboration may support changes in the relative emphasis placed on formal and informal controls as offshoring relationships develop. The cross-sectional evidence does not, however, directly observe this reconfiguration process over time.

7.3 Formal Control and Governance Costs in Offshoring

Management control and TCT research have emphasized the role of formal controls, including contracts, monitoring, reporting, and performance measurement, in reducing ambiguity, supporting accountability, and safeguarding exchanges under uncertainty (Eisenhardt, 1989; Ouchi, 1979; Williamson, 1985). This dissertation adds a cost dimension to this established argument. Although formal controls provide structure and support governance, their operation also requires

recurring effort related to specification, documentation, monitoring, verification, escalation, and enforcement. Formal controls should therefore be considered both in terms of the governance functions they perform and the effort associated with operating them.

Prior research has established that offshoring relationships may involve hidden or underestimated governance costs beyond supplier fees (Dibbern et al., 2008; Handley & Benton, 2013; Larsen et al., 2013). This dissertation contributes to this literature by providing a more differentiated account of these costs during relationship execution. Specifically, it distinguishes between control costs and coordination costs and identifies the control and task conditions associated with each. Formal control and task complexity show significant associations with control costs, whereas task complexity and task interdependence show significant associations with coordination costs. The contribution therefore lies not in demonstrating that governance costs exist, but in differentiating between control costs and coordination costs as distinct types of governance effort, and identifying the conditions associated with each.

The theoretical significance of these findings lies in directing attention away from broad differences between national contexts and toward the more proximate conditions under which offshoring activities are governed and performed. Cultural distance has frequently been used to explain governance difficulties in offshore outsourcing (Dibbern et al., 2008; Handley & Benton, 2013; Hofstede, 2001; Kogut & Singh, 1988). The findings indicate, however, that formal control and characteristics of the outsourced work are significantly associated with recurring control and coordination effort during relationship execution, whereas aggregate cultural distance does not retain a significant association once these more proximate factors are considered.

Viewed through the MCS package perspective, these findings add a cost dimension to the evaluation of control arrangements. The relevant question is not only whether a configuration of controls supports

monitoring, coordination, and accountability, but also what recurring control and coordination effort is associated with its operation. The dissertation does not compare the costs of alternative MCS package configurations, assess the relative efficiency of different control arrangements, or examine whether governance costs are negatively associated with offshoring performance. Rather, it integrates the governance cost findings with the MCS package perspective to argue that control arrangements should be evaluated in terms of both their intended functions and the recurring effort associated with their operation.

7.4 Two Bases of MCS Package Reconfiguration

The dissertation contributes to research on the dynamic view of MCS packages. Management control research recognizes that control arrangements are not static and may change as organizational and inter-organizational conditions evolve (Cislaghi et al., 2022; Otley, 2016; van der Meer-Kooistra & Vosselman, 2000). This dissertation develops this perspective by distinguishing two bases for MCS package reconfiguration. The first basis concerns relationship development in relation to offshoring performance. The dissertation proposes that the relative emphasis placed on formal and informal controls may change across the initial, transition, and mature stages of an offshoring relationship, with informal controls becoming more prominent as trust and cultural understanding develop, while formal controls continue to provide baseline safeguards. This proposition extends relational governance research (Das & Teng, 2001; Gulati, 1995; Poppo & Zenger, 2002; Sako, 1992) by framing relationship development as a basis for MCS package reconfiguration. SET helps explain this proposed shift by emphasizing how repeated interaction, reciprocity, and expectations of future exchange can support goodwill trust and relational coordination. The MCS package perspective, in turn, directs attention to changes in the relative emphasis placed on formal and informal controls while recognizing that both may continue to serve distinct governance roles.

The evidential basis for this proposition should nevertheless be stated carefully. The relationship stage framework is conceptual and was not examined using longitudinal data. The cross-sectional configurational analysis provides complementary evidence that different configurations of controls and relationship conditions (i.e., contextual factors) are associated with offshoring success. It does not, however, show that firms move from one configuration to another as relationships develop. The proposed reconfiguration should therefore be understood as theoretically consistent with the lifecycle argument developed in the conceptual framework, rather than as direct empirical evidence of temporal progression.

The second basis concerns binding supply chain due diligence regulation in sustainability compliance. In this setting, reconfiguration arises in response to external regulatory requirements that extend the scope of control across supply chain tiers rather than from the gradual development of a single offshoring relationship. Firms adapt control arrangements to support risk assessment, documentation, monitoring, traceability, escalation, and generation of auditable evidence. Binding supply chain due diligence regulation therefore expands both the scope of control and the evidentiary requirements associated with demonstrating compliance.

Distinguishing these two bases provides a more differentiated understanding of MCS package reconfiguration. Reconfiguration should not be treated as a single generic process because its basis, direction, and scope depend on the conditions that prompt it.

7.5 Management Control under Binding Supply Chain Due Diligence Regulation

This dissertation contributes to sustainability management control research by showing how MCS packages are adapted when sustainability due diligence becomes legally binding. Prior research has largely

examined the integration of environmental and social objectives into strategy, performance measurement, reporting, and internal control processes, often in settings characterized by voluntary sustainability engagement (e.g., Arjaliès & Mundy, 2013; Beusch et al., 2022; Gond et al., 2012). This dissertation extends this literature by showing that binding supply chain due diligence regulation creates demands that go beyond voluntary sustainability integration and CSR initiatives. Under binding supply chain due diligence regulation such as LkSG, MCS packages must also support auditable documentation, traceability, accountability, escalation, and evidence generation across supply chain tiers.

Viewed through the MCS package perspective, the findings show that binding supply chain due diligence regulation is not operationalized through a single reporting mechanism or sustainability indicator. Instead, regulatory requirements are translated into adaptations across multiple control types. Binding supply chain due diligence regulation therefore broadens the purposes for which existing controls are operated by directing them toward demonstrable compliance. This extends the MCS package perspective by showing how a common regulatory demand can affect multiple elements of the package rather than producing an isolated control response.

The distinction between uniform and hybrid adaptation logics develops the combined explanatory use of IT and CT. Where adaptation converges strongly across firms, this is consistent with coercive institutional pressure to generate measurable and auditable evidence or with normative pressure arising from shared professional and ethical expectations. Where adaptation instead varies across firms, CT helps explain how organizational contingencies shape the implementation of common institutional demands in practice (Chenhall, 2003; DiMaggio & Powell, 1983; Otley, 2016; Scott, 2014). The findings thus show that binding supply chain due diligence regulation can create convergence in particular elements of the MCS package without producing complete uniformity across firms, and that common regulatory pressure does not translate into identical implementation across all control types. The

dissertation consequently develops the relationship between IT and CT in explaining MCS package reconfiguration by showing how the two theories account for both convergence and variation in MCS package reconfiguration.

Together, these insights point to several tensions relevant to management control in global supply chains: safeguarding versus flexibility, standardization versus contextual fit, performance benefits versus governance costs, and operational execution versus evidence generation for compliance.

7.6 Implications for Practice

The dissertation offers practical implications for managers responsible for offshoring performance and sustainability compliance in firms engaged in global outsourcing, for suppliers operating under increasing compliance expectations, and for policymakers involved in the design and oversight of supply chain sustainability governance aimed at advancing sustainable development outcomes.

Managers should approach control in offshoring relationships as an MCS package rather than as an isolated control mechanism. Contracts, performance measures, reporting routines, and monitoring mechanisms provide structure and accountability, but their relevance depends on how they are combined with informal controls and considered in relation to trust, cultural understanding and cultural competency, and relationship continuity. Managers should therefore evaluate the overall control arrangement rather than assess each control mechanism separately.

The configurational findings also caution against applying a single standardized control template across all offshoring relationships. Different configurations of controls and contextual factors may be associated with offshoring success. Managers should therefore consider control arrangements in relation to the conditions of the particular

relationship. Trust, cultural competency, and relationship continuity should be considered alongside formal and informal controls. The findings on governance costs further call for attention to task characteristics because they are associated with recurring governance effort. In this regard, task complexity is associated with both control and coordination costs, while task interdependence is associated with coordination costs.

Trust should not be treated as a substitute for control. It may support cooperation, communication, and relational coordination, but it does not remove the need for formal accountability. This is particularly important when firms must satisfy binding documentation and verification requirements. Managers should thus combine formal controls that clarify responsibilities and performance expectations with relational practices that support communication, mutual understanding, and continued collaboration.

The conceptual relationship stage framework further suggests that the relative emphasis placed on formal and informal controls may need to be reconsidered as relationship conditions evolve. When goodwill trust, cultural understanding, and expectations of continued collaboration are limited, formal safeguards may assume greater relevance. As these conditions develop, greater emphasis may be placed on informal controls and relational coordination, while formal controls remain as baseline safeguards. Because this proposed progression was not examined longitudinally, its practical relevance thus lies in encouraging managers to review control arrangements periodically rather than treating initial control choices as fixed.

Managers should also avoid relying primarily on aggregate cultural distance when diagnosing governance difficulties. Instead, attention should be directed to cultural understanding and cultural competency within the particular relationship, as well as to the control and task characteristics associated with recurring governance effort. The findings also highlight the cost dimension of control, which indicates that

managers should assess not only the intended governance functions of a control arrangement but also the recurring effort required to operate it.

Under binding supply chain due diligence regulation, managers should move beyond isolated sustainability indicators. Due diligence obligations need to be translated into coordinated control arrangements that assign responsibilities, support risk assessment, establish monitoring and escalation procedures, and generate auditable evidence across supply chain tiers. Managers should also consider how digital maturity, supply chain complexity, governance structures, and organizational resources affect the implementation of these control arrangements.

The findings also have implications for suppliers operating in global supply chains under increasing compliance expectations. Although the empirical evidence primarily reflects the client perspective, it shows how MNCs interpret regulatory mandates and translate them into changes in MCS packages. This may help suppliers understand client expectations and anticipate more formalized requirements concerning documentation, monitoring, traceability, and remediation. Such understanding is particularly relevant for suppliers seeking to maintain or strengthen their position in global supply chains under tightening sustainability standards.

From the supplier's perspective, this means that aligning internal routines with client requirements may facilitate the operation of these control arrangements. Openness, responsiveness, accurate and timely information sharing, and consistent fulfillment of agreed requirements may help reduce friction, strengthen relational credibility, support goodwill trust, and reinforce expectations of continued collaboration. These implications should nevertheless be interpreted cautiously because the dissertation does not directly examine supplier perceptions or investigate how supplier practices affect goodwill trust or relationship continuity.

The findings also have implications for policymakers involved in supply chain sustainability regulation. Binding supply chain due diligence

regulation may have effects beyond the firms formally subject to regulation. Although legislation such as the LkSG directly applies to qualifying firms, regulated firms may extend documentation, risk assessment, and due diligence requirements to smaller suppliers. Suppliers that lack comparable financial, technological, or institutional resources may consequently face disproportionate compliance burdens and a risk of exclusion from global value chains. Policymakers should therefore consider the implementation capacities of both regulated firms and their suppliers. At the same time, regulatory frameworks should establish coherent compliance expectations while recognizing variation in organizational structures, supply chain complexity, digital maturity, and available resources.

Limited visibility beyond the first-tier suppliers also constrains the ability of firms to monitor indirect supply chain actors. Fragmented information systems and uneven technological infrastructure can make traceability and evidence generation difficult, even when legal responsibilities are clearly defined. As a result, policymakers should consider whether both firms and their suppliers have access to the infrastructure and guidance needed to operationalize regulatory obligations across multiple supply chain tiers.

Finally, regulatory oversight should distinguish between procedural compliance and substantive sustainability outcomes. Auditable documentation may demonstrate that required processes have been established, but it does not by itself establish improvements in environmental or human rights conditions. This is consistent with concerns about decoupling between formal compliance and substantive outcomes in sustainability governance (Palea et al., 2025; Wijen, 2014). Policymakers should hence consider how regulatory evaluation can address both the quality of due diligence processes and progress toward the substantive objectives of sustainability regulation.

7.7 Limitations and Future Research Directions

The dissertation has several limitations that open avenues for future research. First, the empirical evidence is drawn from specific country settings and primarily from the client-side perspective. This focus is appropriate for explaining how client firms configure and reconfigure MCS packages in global supply chains, but it also means that supplier-side interpretations and experiences of control are not directly captured. Future research could hence examine how suppliers interpret and respond to client monitoring, reporting, documentation, and remediation demands. Such studies would provide a more complete understanding of how MCS packages operate across both sides of the client–supplier relationship.

Second, a limitation concerns the operationalization of constructs in the survey studies. The findings on governance costs indicate that aggregate cultural distance provides limited additional explanatory power once execution-level factors are considered. This should not be interpreted as evidence that culture is irrelevant. Rather, it underscores the difficulty of capturing how culture operates within client–supplier interaction through country-level distance measures. Trust constructs, especially goodwill trust, present a similar challenge. Survey measures can capture respondents' perceptions, but they are less able to represent the evolving and interactional nature of trust development over time. Future research could therefore combine survey measures with longitudinal observations, interviews, or data collected from both clients and suppliers to provide a more comprehensive understanding of how these constructs develop and operate within offshoring relationships.

Third, the qualitative analysis is anchored in a specific binding supply chain due diligence regulation (i.e., LkSG) and reflects a period in which firms are still refining their compliance practices. The findings therefore provide insight into how firms reconfigure MCS packages under binding supply chain due diligence regulation, but they do not show whether these adaptations will remain stable over longer periods. Regulatory

frameworks also may differ across jurisdictions in scope, enforcement arrangements, and evidentiary requirements. Comparative research across regulatory settings could therefore clarify how legal design, enforcement practices, and institutional expectations shape the forms of MCS package reconfiguration adopted by firms as well as the costs of maintaining them.

Fourth, the sustainability study explains how firms reconfigure MCS packages to meet evidentiary requirements, but it does not examine whether these adaptations produce material improvements in environmental or human rights conditions. Future research should thus investigate whether, and under what conditions, compliance-related MCS packages contribute to substantive sustainability outcomes rather than remaining primarily procedural.

Fifth, although the dissertation proposes a dynamic understanding of MCS packages, much of the empirical evidence does not directly observe changes in control arrangements over extended periods. As a result, the relationship-stage proposition is supported by conceptual synthesis and complemented by cross-sectional configurational evidence, rather than by longitudinal evidence. Future studies could hence examine how MCS packages are reconfigured over time as the relationship conditions evolve. Longitudinal case studies could help clarify whether and when reconfiguration occurs incrementally and when it becomes more substantial and what conditions prompt each.

Sixth, this dissertation focuses primarily on learning and development within particular offshoring relationships, and it gives less attention to the experience and governance capabilities that firms bring into new relationships. Client firms may enter offshoring arrangements with different levels of prior outsourcing experience, market knowledge, and established control routines. These differences may influence the initial configuration of the MCS package and the subsequent development of trust, coordination routines, and informal controls. Future research could therefore examine how prior offshoring experience and relationship-

specific learning jointly shape the configuration and reconfiguration of MCS packages.

Finally, future research could examine the relationship between the dissertation's two outcome domains. This dissertation analyzes offshoring performance and sustainability compliance as separate outcome domains, but it does not directly examine how compliance-related MCS reconfiguration affects offshoring performance or governance costs. Control arrangements designed to demonstrate sustainability compliance may strengthen accountability, traceability, and evidence generation, but they may also increase formalization, administrative effort, and governance costs. Understanding when these changes support, constrain, or alter offshoring performance remains an important question.

7.8 Concluding Remarks

This dissertation contributes to management control research by showing that control in cross-border inter-organizational relationships is better understood through configurations of formal and informal controls, considered in relation to relevant contextual conditions, and subject to reconfiguration as relationship conditions evolve or in response to binding supply chain due diligence regulation. More specifically, it shows that the relevance of individual control mechanisms cannot be understood solely from their presence or absence but depends on how they are combined with other controls and considered in relation to relational and cultural contextual factors, task characteristics, and regulatory conditions. MCS packages may be configured in relation to offshoring performance, their operation may involve recurring control and coordination effort, and they may be reconfigured to demonstrate sustainability compliance. In this way, the dissertation develops a more differentiated and dynamic understanding of how MCS packages are configured and, when required, reconfigured in global supply chains.

References

Arjaliès, D.-L., & Mundy, J. (2013). The use of management control systems to manage CSR strategy: A levers of control perspective. *Management Accounting Research, Sustainable Development, Management and Accounting: Boundary Crossing*, *24*(4), 284–300. https://doi.org/10.1016/j.mar.2013.06.003

Armstrong, J. S., & Overton, T. S. (1977). Estimating Nonresponse Bias in Mail Surveys. *Journal of Marketing Research*, *14*(3), 396–402. https://doi.org/10.1177/002224377701400320

Aron, R., & Singh, J. V. (2005). Getting Offshoring Right. *Harvard Business Review*, *83*(12), 135–143.

Axelrod, R. (1984). *The Evolution of Cooperation*. Basic Books. (Original work published Library of Congress Cataloging in Publication Data)

Babin, R., Bates, K., & Sohal, S. (2017). The role of trust in outsourcing: More important than the contract? *Journal of Strategic Contracting and Negotiation*, *3*(1), 38–46. https://doi.org/10.1177/2055563617717080

BAFA - Overview. (n.d.). Retrieved May 24, 2024, from https://www.bafa.de/EN/Supply_Chain_Act/Overview/overview_node.html

Bahli, B., & Rivard, S. (2013). Cost escalation in information technology outsourcing: A moderated mediation study. Decision Support Systems, 56, 37-47. https://doi.org/10.1016/j.dss.2013.04.007

Baraldi, E., Proença, J. F., Proença, T., & De Castro, L. M. (2014). The supplier's side of outsourcing: Taking over activities and blurring organizational boundaries. *Industrial Marketing Management*, *43*(4), 553–563. https://doi.org/10.1016/j.indmarman.2014.02.012

Bedford, D. S., & Malmi, T. (2015). Configurations of control: An exploratory analysis. *Management Accounting Research*, *27*, 2–26. https://doi.org/10.1016/j.mar.2015.04.002

Bedford, D. S., Malmi, T., & Sandelin, M. (2016). Management control effectiveness and strategy: An empirical analysis of packages and systems. *Accounting, Organizations and Society*, *51*, 12–28. https://doi.org/10.1016/j.aos.2016.04.002

Beugré, C., & Acar, W. (2008). Offshoring and Cross-Border Interorganizational Relationships: A Justice Model*. *Decision Sciences*, *39*(3), 445–468. https://doi.org/10.1111/j.1540-5915.2008.00199.x

Beusch, P., Frisk, J. E., Rosén, M., & Dilla, W. (2022). Management control for sustainability: Towards integrated systems. *Management Accounting Research*, *54*, 100777. https://doi.org/10.1016/j.mar.2021.100777

Bhaskar, R. (2013). *A Realist Theory of Science*. Routledge. https://doi.org/10.4324/9780203090732

Blau, P. (1986). *Exchange and Power in Social Life* (2nd ed.). Routledge. https://doi.org/10.4324/9780203792643

BMAS - Lieferkettengesetz. (n.d.). Www.Bmas.De. Retrieved May 19, 2024, from https://www.bmas.de/DE/Service/Gesetze-und-Gesetzesvorhaben/Gesetz-

Unternehmerische-Sorgfaltspflichten-Lieferketten/gesetz-unternehmerische-sorgfaltspflichten-lieferketten.html
Bracci, E., Tallaki, M., & Riso, V. (2024). Trust and management control archetypes in public-private partnerships. *Journal of Accounting & Organizational Change*, *20*(6), 178–199. https://doi.org/10.1108/JAOC-12-2023-0225
Braun, V., & Clarke, V. (2006). Using thematic analysis in psychology. *Qualitative Research in Psychology*, *3*(2), 77–101. https://doi.org/10.1191/1478088706qp063oa
Caniato, F., Elia, S., Luzzini, D., Piscitello, L., & Ronchi, S. (2015). Location drivers, governance model and performance in service offshoring. *International Journal of Production Economics*, *163*, 189–199. https://doi.org/10.1016/j.ijpe.2014.09.011
Carson, S. J., Madhok, A., & Wu, T. (2006). Uncertainty, Opportunism, and Governance: The Effects of Volatility and Ambiguity on Formal and Relational Contracting. *The Academy of Management Journal*, *49*(5), 1058–1077.
Chenhall, R. H. (2003). Management control systems design within its organizational context: Findings from contingency-based research and directions for the future. *Accounting, Organizations and Society*, *28*(2–3), 127–168. https://doi.org/10.1016/S0361-3682(01)00027-7
Child, J. (2001). Trust—The fundamental bond in global collaboration. *Organizational Dynamics*, *29*(4), 274–288. https://doi.org/10.1016/S0090-2616(01)00033-X
Choudhury, V., & Sabherwal, R. (2003). Portfolios of Control in Outsourced Software Development Projects. *Information Systems Research*, *14*(3), 291–314. https://doi.org/10.1287/isre.14.3.291.16563
Christ, M. H., Mintchik, N., Chen, L., & Bierstaker, J. L. (2015). Outsourcing the Information System: Determinants, Risks, and Implications for Management Control Systems. *Journal of Management Accounting Research*, *27*(2), 77–120. https://doi.org/10.2308/jmar-50847
Cislaghi, T. P., Wegner, D., & Vieira, L. M. (2022). How do governance and relational rents evolve during the maturity stages of supply chains? *Supply Chain Management: An International Journal*, *27*(3), 369–382. https://doi.org/10.1108/SCM-07-2020-0296
Clampit, J., Kedia, B., Fabian, F., & Gaffney, N. (2015). Offshoring satisfaction: The role of partnership credibility and cultural complementarity. *Journal of World Business*, *50*(1), 79–93. https://doi.org/10.1016/j.jwb.2014.02.001
Coase, R. H. (1937). The Nature of the Firm. *Economica*, *4*(16), 386–405. https://doi.org/10.1111/j.1468-0335.1937.tb00002.x
Contractor, F. J., Kumar, V., Kundu, S. K., & Pedersen, T. (2010). Reconceptualizing the Firm in a World of Outsourcing and Offshoring: The Organizational and Geographical Relocation of High-Value Company Functions.

Journal of Management Studies, *47*(8), 1417–1433. https://doi.org/10.1111/j.1467-6486.2010.00945.x
Cramton, C. D. (2001). The Mutual Knowledge Problem and Its Consequences for Dispersed Collaboration. *Organization Science*, *12*(3), 346–371. https://doi.org/10.1287/orsc.12.3.346.10098
Creswell, J. W., & Clark, V. L. P. (2011). *Designing and Conducting Mixed Methods Research* (2nd ed.). SAGE.
Danermark, B., Ekström, M., & Karlsson, J. C. (2019). *Explaining Society: Critical Realism in the Social Sciences* (2nd ed.). Routledge. https://doi.org/10.4324/9781351017831
Das, T. K., & Teng, B.-S. (2001). Trust, Control, and Risk in Strategic Alliances: An Integrated Framework. *Organization Studies*, *22*(2), 251–283. https://doi.org/10.1177/0170840601222004
Dekker, H. C. (2004). Control of inter-organizational relationships: Evidence on appropriation concerns and coordination requirements. *Accounting, Organizations and Society*, *29*(1), 27–49. https://doi.org/10.1016/S0361-3682(02)00056-9
Dibbern, Winkler, & Heinzl. (2008). Explaining Variations in Client Extra Costs between Software Projects Offshored to India. *MIS Quarterly*, *32*(2), 333–366. https://doi.org/10.2307/25148843
DiMaggio, P. J., & Powell, W. W. (1983). The Iron Cage Revisited: Institutional Isomorphism and Collective Rationality in Organizational Fields. *American Sociological Review*, *48*(2), 147–160. https://doi.org/10.2307/2095101
Directive (EU) 2024/1760. (n.d.). *The Corporate Sustainability Due Diligence Directive (CSDDD)*. Retrieved December 21, 2024, from https://www.corporate-sustainability-due-diligence-directive.com/
Ditillo, A., & Caglio, A. (2011). *Controlling Collaboration between Firms: How to build and Maintain Successful Relationships with External Partners*. Butterworth-Heinemann.
Ditillo, A., & Lisi, I. E. (2014). Towards a More Comprehensive Framework for Sustainability Control Systems Research. In *Accounting for the Environment: More Talk and Little Progress* (Vol. 5, pp. 23–47). Emerald Group Publishing Limited. https://doi.org/10.1108/S1479-359820140000005010
Donaldson, L. (2001). *The Contingency Theory of Organizations*. SAGE Publications.
Doney, P. M., Cannon, J. P., & Mullen, M. R. (1998). Understanding the Influence of National Culture on the Development of Trust. *Academy of Management Review*, *23*(3), 601–620. https://doi.org/https://doi.org/10.2307/259297
Edirisinghe, U. C., Hossain, M. M., & Alam, M. (2024). Managerial conception of integrating sustainability into management control systems: Evidence from Sri Lankan manufacturing companies. *Qualitative Research in Accounting & Management*, *21*(2), 105–139. https://doi.org/10.1108/QRAM-05-2023-0093

Einhorn, S., Heinicke, X., & Guenther, T. W. (2021). Management control packages in family businesses: A configurational approach. *Journal of Business Economics*, *91*(4), 433–478. https://doi.org/10.1007/s11573-020-01008-7
Eisenhardt, K. (1989). Building Theories from Case Study Research. *The Academy of Management Review*, *14*(4), 532–550. https://doi.org/10.2307/258557
Fiechter, P., Hitz, J.-M., & Lehmann, N. (2022). Real Effects of a Widespread CSR Reporting Mandate: Evidence from the European Union's CSR Directive. *Journal of Accounting Research*, *60*(4), 1499–1549. https://doi.org/10.1111/1475-679X.12424
Fiss, P. (2011). Building Better Causal Theories: A Fuzzy Set Approach to Typologies in Organization Research. *Academy of Management Journal*, *54*(2), 393–420. https://doi.org/10.5465/amj.2011.60263120
Forbes. (2024). *5 Surprising Reasons Culture Is The Key To Your Offshore Team Success*. 5 Surprising Reasons Culture Is The Key To Your Offshore Team Success. https://www.forbes.com/councils/forbestechcouncil/2024/10/02/5-surprising-reasons-culture-is-the-key-to-your-offshore-team-success/
Fornell, C., & Larcker, D. F. (1981). Evaluating Structural Equation Models with Unobservable Variables and Measurement Error. *Journal of Marketing Research*, *18*(1), 39–50. https://doi.org/10.1177/002224378101800104
Frare, A. B., Colombo, V. L. B., & Beuren, I. M. (2022). Performance measurement systems, environmental satisfaction, and green work engagement. *Revista Contabilidade & Finanças*, *33*, e1503. https://doi.org/10.1590/1808-057x20211503.en
George, R. A., Siti-Nabiha, A. K., Jalaludin, D., & Abdalla, Y. A. (2016). Barriers to and enablers of sustainability integration in the performance management systems of an oil and gas company. *Journal of Cleaner Production, Special Volume: The Integration of Corporate Sustainability Assessment, Management Accounting, Control, and Reporting*, *136*, 197–212. https://doi.org/10.1016/j.jclepro.2016.01.097
Gilley, K. M., & Rasheed, A. (2000). Making More by Doing Less: An Analysis of Outsourcing and its Effects on Firm Performance. *Journal of Management*, *26*(4), 763–790. https://doi.org/10.1177/014920630002600408
Goebel, S., & Weißenberger, B. E. (2017). The Relationship Between Informal Controls, Ethical Work Climates, and Organizational Performance. *Journal of Business Ethics*, *141*(3), 505–528. https://doi.org/10.1007/s10551-015-2700-7
Gond, J.-P., Grubnic, S., Herzig, C., & Moon, J. (2012). Configuring management control systems: Theorizing the integration of strategy and sustainability. *Management Accounting Research*, *23*(3), 205–223. https://doi.org/10.1016/j.mar.2012.06.003
Goo, J., & Huang, C. D. (2008). Facilitating relational governance through service level agreements in IT outsourcing: An application of the commitment–trust

theory. *Decision Support Systems*, *46*(1), 216–232. https://doi.org/10.1016/j.dss.2008.06.005
Grabner, I., & Moers, F. (2013). Management control as a system or a package? Conceptual and empirical issues. *Accounting, Organizations and Society*, *38*(6), 407–419. https://doi.org/10.1016/j.aos.2013.09.002
Gulati, R. (1995). Does Familiarity Breed Trust? The Implications of Repeated Ties for Contractual Choice in Alliances. *Academy of Management Journal*, *38*(1), 85–112. https://doi.org/10.2307/256729
Gulati, R., & Singh, H. (1998). The Architecture of Cooperation: Managing Coordination Costs and Appropriation Concerns in Strategic Alliances. *Administrative Science Quarterly*, *43*(4), 781–814. https://doi.org/10.2307/2393616
Hair, J. F., Hult, G. T. M., Ringle, C., & Sarstedt, M. (2017). *A Primer on Partial Least Squares Structural Equation Modeling (PLS-SEM)*. SAGE Publications.
Hair, J. F., Risher, J. J., Sarstedt, M., & Ringle, C. M. (2019). When to use and how to report the results of PLS-SEM. *European Business Review*, *31*(1), 2–24. https://doi.org/10.1108/EBR-11-2018-0203
Halldorsson, A., Kotzab, H., Mikkola, J. H., & Skjøtt-Larsen, T. (2007). Complementary theories to supply chain management. *Supply Chain Management: An International Journal*, *12*(4), 284–296. https://doi.org/10.1108/13598540710759808
Handley, S. M., & Angst, C. M. (2015). The impact of culture on the relationship between governance and opportunism in outsourcing relationships. *Strategic Management Journal*, *36*(9), 1412–1434. https://doi.org/10.1002/smj.2300
Handley, S. M., & Benton, W. C. (2012). The influence of exchange hazards and power on opportunism in outsourcing relationships. *Journal of Operations Management*, *30*(1–2), 55–68. https://doi.org/10.1016/j.jom.2011.06.001
Handley, S. M., & Benton, W. C. (2013). The influence of task- and location-specific complexity on the control and coordination costs in global outsourcing relationships. *Journal of Operations Management*, *31*(3), 109–128. https://doi.org/10.1016/j.jom.2012.12.003
Helm, R., Kloyer, M., & Aust, C. (2020). R&D collaboration between firms: Hard and soft antecedents of supplier knowledge sharing. *International Journal of Innovation Management*, *24*(01), 2050001-1–42. https://doi.org/10.1142/S1363919620500012
Heumann, J., Wiener, M., & Remus, U. (2011). The Impact of National Culture on Control in IS Offshoring Projects. *In Proceedings of the 10th International Conference on Wirtschaftsinformatik, Zurich*.
Hofstede, G. (1984). *Culture's Consequences: International Differences in Work-Related Values*. SAGE Publications.
Hofstede, G. (1991). *Cultures and Organizations: Software of the Mind*. McGraw-Hill.

Hofstede, G. (2001). *Culture's Consequences: Comparing Values, Behaviors, Institutions and Organizations Across Nations*. SAGE Publications.
Jabbour, L. (2010). Offshoring and Firm Performance: Evidence from French Manufacturing Industry. *The World Economy*, *33*(3), 507–524. https://doi.org/10.1111/j.1467-9701.2010.01265.x
Jayaraman, V., & Liu, Z. (2019). Aligning governance mechanisms with task features to improve service capabilities—An empirical study of professional service outsourcing in India. *Operations Management Research*, *12*(1–2), 19–39. https://doi.org/10.1007/s12063-019-00141-z
Kang, M., Wu, X., Hong, P., & Park, Y. (2012). Aligning organizational control practices with competitive outsourcing performance. *Journal of Business Research*, *65*(8), 1195–1201. https://doi.org/10.1016/j.jbusres.2011.07.004
Karlsen, J. T., Sæther, H. S., Oorschot, K. E. V., & Vaagaasar, A. L. (2021). Managing trust and control when offshoring information systems development projects by adjusting project goals. *International Journal of Technology Management*, *85*(1), 42–77. https://doi.org/10.1504/IJTM.2021.113693
Kauppi, K., & Hannibal, C. (2017). Institutional pressures and sustainability assessment in supply chains. *Supply Chain Management: An International Journal*, *22*(5), 458–472. https://doi.org/10.1108/SCM-01-2017-0004
Kirsch, L. J., Sambamurthy, V., Ko, D. G., & Purvis, R. L. (2002). Controlling information systems development projects: The view from the client. *Management science*, *48*(4), 484-498. https://doi.org/10.1287/mnsc.48.4.484.204
Koenig, J., Geiskopf, F., Caillaud, E., & Sonntag, M. (2007). Management control system on international outsourcing manufacturing. *2007 IEEE International Conference on Industrial Engineering and Engineering Management*, 418–422. https://doi.org/10.1109/IEEM.2007.4419223
Kogut, B., & Singh, H. (1988). The Effect of National Culture on the Choice of Entry Mode. *Journal of International Business Studies*, *19*(3), 411–432. https://doi.org/10.1057/palgrave.jibs.8490394
Könning, M., Strahringer, S., & Westner, M. (2021). Unraveling the impact of cultural distance on IT outsourcing success – insights from three major sourcing reconfigurations. *Journal of Enterprise Information Management*, *34*(3), 811–837. https://doi.org/10.1108/JEIM-06-2019-0151
Kostova, T., Roth, K., & Dacin, M. T. (2008). Institutional Theory in the Study of Multinational Corporations: A Critique and New Directions. *Academy of Management Review*, *33*(4), 994–1006. https://doi.org/10.5465/amr.2008.34422026
KPMG. (2022). *The move towards outsourcing and offshoring – the challenges and opportunities*. https://assets.kpmg.com/content/dam/kpmg/ae/pdf-2022/04/the-move-towards-outsourcing-and-offshoring.pdf
Krancher, O., Oshri, I., Kotlarsky, J., & Dibbern, J. (2022). Bilateral, collective, or both? Formal governance and performance in multisourcing. *The University*

of Auckland Business School Research Paper Series, Forthcoming, Journal of Association for Information Systems. DOI: 10.17705/1jais.00751
Kumar, K., van Fenema, P. C., & Von Glinow, M. A. (2009). Offshoring and the global distribution of work: Implications for task interdependence theory and practice. *Journal of International Business Studies*, *40*(4), 642–667. https://doi.org/10.1057/jibs.2008.77
Lahiri, S., Karna, A., Chittaranjan Kalubandi, S., & Edacherian, S. (2022). Performance implications of outsourcing: A meta-analysis. *Journal of Business Research*, *139*, 1303–1316. https://doi.org/10.1016/j.jbusres.2021.10.061
Langfield-Smith, K., & Smith, D. (2003). Management control systems and trust in outsourcing relationships. *Management Accounting Research*, *14*(3), 281–307. https://doi.org/10.1016/S1044-5005(03)00046-5
Larsen, M. M. (2016). Failing to estimate the costs of offshoring: A study on process performance. *International Business Review*, *25*(1), 307–318. https://doi.org/10.1016/j.ibusrev.2015.05.008
Larsen, M. M., Manning, S., & Pedersen, T. (2013). Uncovering the hidden costs of offshoring: The interplay of complexity, organizational design, and experience. *Strategic Management Journal*, *34*(5), 533–552. https://doi.org/10.1002/smj.2023
Lincoln, Y. S., & Guba, G. E. (2000). The Only Generalization Is There Is No Generalization. In Gomm, R., Hammersley, M. and Foster, P., Eds., Case Study Method, SAGE, London, 27-45. - References—Scientific Research Publishing. In *Case Study Method: Key Issues, Key Texts* (Eds., pp. 27–45). SAGE Publications Ltd.
Mähring, M., Wiener, M., & Remus, U. (2018). Getting the control across: Control transmission in information systems offshoring projects. *Information Systems Journal*, *28*(4), 708–728. https://doi.org/10.1111/isj.12155
Malmi, T., & Brown, D. A. (2008). Management control systems as a package—Opportunities, challenges and research directions. *Management Accounting Research, Management Control Systems as a Package*, *19*(4), 287–300. https://doi.org/10.1016/j.mar.2008.09.003
Manning, S., Larsen, M. M., & Bharati, P. (2015). Global delivery models: The role of talent, speed and time zones in the global outsourcing industry. *Journal of International Business Studies*, *46*(7), 850–877.
Mao, J.-Y., Lee, J.-N., & Deng, C.-P. (2008). Vendors' perspectives on trust and control in offshore information systems outsourcing. *Information & Management*, *45*(7), 482–492. https://doi.org/10.1016/j.im.2008.07.003
Maas, K., Schaltegger, S., & Crutzen, N. (2016). Integrating corporate sustainability assessment, management accounting, control, and reporting, *Journal of Cleaner Production*, 136, 237-248. https://doi: 10.1016/j.jclepro.2016.05.008
Merchant, K. A., & van der Stede, W. A. (2007). *Management Control Systems: Performance Measurement, Evaluation and Incentives*. Pearson Education.

Mihalache, M., & Mihalache, O. R. (2016). A Decisional Framework of Offshoring: Integrating Insights from 25 Years of Research to Provide Direction for Future*: *Decision Sciences*, *47*(6), 1103–1149. https://doi.org/10.1111/deci.12206

Minnaar, R. A., Vosselman, E., van Veen-Dirks, P. M. G., & Zahir-ul-Hassan, M. K. (2017). A relational perspective on the contract-control-trust nexus in an interfirm relationship. *Management Accounting Research*, *34*, 30–41. https://doi.org/10.1016/j.mar.2016.07.003

Miranda, S. M., & Kavan, C. B. (2005). Moments of Governance in IS Outsourcing: Conceptualizing Effects of Contracts on Value Capture and Creation. *Journal of Information Technology*, *20*(3), 152–169. https://doi.org/10.1057/palgrave.jit.2000045

Misangyi, V. F., Greckhamer, T., Furnari, S., Fiss, P. C., Crilly, D., & Aguilera, R. (2017). Embracing Causal Complexity: The Emergence of a Neo-Configurational Perspective. *Journal of Management*, *43*(1), 255–282. https://doi.org/10.1177/0149206316679252

Morgan, D. L. (2007). Paradigms Lost and Pragmatism Regained: Methodological Implications of Combining Qualitative and Quantitative Methods. *Journal of Mixed Methods Research*, *1*(1), 48–76. https://doi.org/10.1177/2345678906292462

Morgan, R., Doran, D., & Morgan, S. J. (2018). Strong contracts: The relationship between power and action. *International Journal of Operations & Production Management*, *38*(1), 272–294. https://doi.org/10.1108/IJOPM-02-2016-0064

Morgan, R. M., & Hunt, S. D. (1994). The Commitment-Trust Theory of Relationship Marketing. *Journal of Marketing*, *58*(3), 20–38. https://doi.org/10.1177/002224299405800302

Mukherjee, D., Kumar, S., Pandey, N., & Lahiri, S. (2023). Is offshoring dead? A multidisciplinary review and future directions. *Journal of International Management*, *29*(3), 101017. https://doi.org/10.1016/j.intman.2023.101017

Murphy, F. J., & Yielder, J. (2010). Establishing rigour in qualitative radiography research. *Radiography*, *16*(1), 62–67. https://doi.org/10.1016/j.radi.2009.07.003

Narayanaswamy, R., & Henry, R. M. (2005). Effects of culture on control mechanisms in offshore outsourced IT projects. *Proceedings of the 2005 ACM SIGMIS CPR Conference on Computer Personnel Research, SIGMIS CPR '05*, 139–145. https://doi.org/10.1145/1055973.1056004

Nooteboom, B. (1996). Trust, Opportunism and Governance: A Process and Control Model. *Organization Studies*, *17*(6), 985–1010. https://doi.org/10.1177/017084069601700605

Olson, G. M., & Olson, J. S. (2000). Distance Matters. *Human–Computer Interaction*, *15*(2–3), 139–178. https://doi.org/10.1207/S15327051HCI1523_4

Otley, D. (1994). Management control in contemporary organizations: Towards a wider framework. *Management Accounting Research*, *5*(3), 289–299. https://doi.org/10.1006/mare.1994.1018
Otley, D. (1999). Performance management: A framework for management control systems research. *Management Accounting Research*, *10*(4), 363–382. https://doi.org/10.1006/mare.1999.0115
Otley, D. (2016). The contingency theory of management accounting and control: 1980–2014. *Management Accounting Research*, *31*, 45–62. https://doi.org/10.1016/j.mar.2016.02.001
Ouchi, W. G. (1979). A Conceptual Framework for the Design of Organizational Control Mechanisms. *Management Science*, *25*(9), 833–848.
Palea, V., Gordano, S., & Migliavacca, A. (2025). Do firms practise what they preach? Corporate performance-communication decoupling on environmental SDGs and the impact of sustainability-oriented governance mechanisms. *Sustainability Accounting, Management and Policy Journal*, *16*(7), 98–127. https://doi.org/10.1108/SAMPJ-07-2024-0705
Pappas, I., & Woodside, A. (2021). Fuzzy-set Qualitative Comparative Analysis (fsQCA): Guidelines for research practice in Information Systems and marketing. *International Journal of Information Management*, *58*, 102310. https://doi.org/10.1016/j.ijinfomgt.2021.102310
Podsakoff, P. M., MacKenzie, S. B., Lee, J.-Y., & Podsakoff, N. P. (2003). Common method biases in behavioral research: A critical review of the literature and recommended remedies. *Journal of Applied Psychology*, *88*(5), 879–903. https://doi.org/10.1037/0021-9010.88.5.879
Poppo, L., & Zenger, T. (2002). Do formal contracts and relational governance function as substitutes or complements? *Strategic Management Journal*, *23*(8), 707–725. https://doi.org/10.1002/smj.249
Ragin, C. (2008). *Redesigning Social Inquiry: Fuzzy Sets and Beyond*. University of Chicago Press.
Remus, U., & Wiener, M. (2012). The Amount of Control in Offshore Software Development Projects: *Journal of Global Information Management*, *20*(4), 1–26. https://doi.org/10.4018/jgim.2012100101
Sabherwal, R. (2003). The evolution of coordination in outsourced software development projects: A comparison of client and vendor perspectives. *Information and Organization*, *13*(3), 153–202. https://doi.org/10.1016/S1471-7727(02)00026-X
Sako, M. (1992). *Price, Quality and Trust: Inter-firm Relations in Britain and Japan*. Cambridge University Press. https://doi.org/10.1017/CBO9780511520723
Saunders, M. N. K., Lewis, P., & Thornhill, A. (2009). *Research Methods for Business Students* (fifth). Pearson Education.
Sayer, A. (2000). *Realism and Social Science*. SAGE.

Scapens, R. W. (2004). Chapter 15—Doing Case Study Research. In C. Humphrey & B. Lee (Eds.), *The Real Life Guide to Accounting Research* (pp. 257–279). Elsevier. https://doi.org/10.1016/B978-008043972-3/50017-7

Schneider, C., & Wagemann, C. (2012). *Set-Theoretic Methods for the Social Sciences: A Guide to Qualitative Comparative Analysis*. Cambridge University Press. https://doi.org/10.1017/CBO9781139004244

Schoenherr, T., Narayanan, S., & Narasimhan, R. (2015). Trust formation in outsourcing relationships: A social exchange theoretic perspective. *International Journal of Production Economics*, *169*, 401–412. https://doi.org/10.1016/j.ijpe.2015.08.026

Scott, W. R. (2005). Institutional theory: Contributing to a theoretical research program. *Great Minds in Management : The Process of Theory Development, Great Minds in Management : The Process of Theory Development. - Oxford [u.a.] : Oxford Univ. Press, ISBN 0-19-927681-1. - 2005, p. 460-484.*

Scott, W. R. (2014). *Institutions and organizations: Ideas, interests and identities /* (Fourth edition.).

Shenkar, O. (2001). Cultural Distance Revisited: Towards a More Rigorous Conceptualization and Measurement of Cultural Differences. *Journal of International Business Studies*, *32*(3), 519–535.

Simons, R. (1994). *Levers of Control: How Managers Use Innovative Control Systems to Drive Strategic Renewal*. Harvard Business Press.

Skowronski, K., Benton, W. C., & Handley, S. (2022). The moderating influence of supplier culture on the relationship between buyer power and supplier shirking. *Journal of Operations Management*, *68*(3), 270–301. https://doi.org/10.1002/joom.1178

Smit, L., Holly, G., McCorquodale, R., & Neely, S. (2021). Human rights due diligence in global supply chains: Evidence of corporate practices to inform a legal standard. *The International Journal of Human Rights*, *25*(6), 945–973. https://doi.org/10.1080/13642987.2020.1799196

Srivastava, S. C., & Teo, T. S. H. (2012). Contract Performance in Offshore Systems Development: Role of Control Mechanisms. *Journal of Management Information Systems*, *29*(1), 115–158. https://doi.org/10.2753/MIS0742-1222290104

Stahl, G. K., & Tung, R. L. (2015). Towards a more balanced treatment of culture in international business studies: The need for positive cross-cultural scholarship. *Journal of International Business Studies*, *46*(4), 391–414.

Steinle, C., Schiele, H., & Ernst, T. (2014). Information Asymmetries as Antecedents of Opportunism in Buyer-Supplier Relationships: Testing Principal-Agent Theory. *Journal of Business-to-Business Marketing*, *21*(2), 123–140. https://doi.org/10.1080/1051712X.2014.903457

Stratman, J. K. (2008). Facilitating offshoring with enterprise technologies: Reducing operational friction in the governance and production of services.

Journal of Operations Management, *26*(2), 275–287. https://doi.org/10.1016/j.jom.2007.02.006
Sukhov, A., Friman, M., & Olsson, L. E. (2023). Unlocking potential: An integrated approach using PLS-SEM, NCA, and fsQCA for informed decision making. *Journal of Retailing and Consumer Services*, *74*, 103424. https://doi.org/10.1016/j.jretconser.2023.103424
Thompson, J. D. (2017). *Organizations in Action: Social Science Bases of Administrative Theory*. Routledge.
Tse, Y. K., Zhang, M., Tan, K. H., Pawar, K., & Fernandes, K. (2019). Managing quality risk in supply chain to drive firm's performance: The roles of control mechanisms. *Journal of Business Research*, *97*, 291–303. https://doi.org/10.1016/j.jbusres.2018.01.029
van der Meer-Kooistra, J., & Scapens, R. W. (2008). The governance of lateral relations *between* and *within* organisations. *Management Accounting Research, Management Control Systems as a Package*, *19*(4), 365–384. https://doi.org/10.1016/j.mar.2008.08.001
van der Meer-Kooistra, J., & Vosselman, E. G. J. (2000). Management control of interfirm transactional relationships: The case of industrial renovation and maintenance. *Accounting, Organizations and Society*, *25*(1), 51–77. https://doi.org/10.1016/S0361-3682(99)00021-5
van der Merwe, M., Kirsten, J. F., & Trienekens, J. H. (2017). Information sharing as a safeguard against the opportunistic behavior of South African Karoo Lamb farmers. *Agricultural Economics*, *48*(S1), 101–111. https://doi.org/10.1111/agec.12389
Wang, L., Jiang, F., Li, J., Motohashi, K., & Zheng, X. (2019). The contingent effects of asset specificity, contract specificity, and trust on offshore relationship performance. *Journal of Business Research*, *99*, 338–349. https://doi.org/10.1016/j.jbusres.2019.02.055
Wang, Q., Li, J. J., Ross, W. T., & Craighead, C. W. (2013). The interplay of drivers and deterrents of opportunism in buyer–supplier relationships. *Journal of the Academy of Marketing Science*, *41*(1), 111–131. https://doi.org/10.1007/s11747-012-0310-9
Wang, S. L. (2023). Digital technology-enabled governance for sustainability in global value chains: a framework and future research agenda. *Journal of Industrial and Business Economics*, *50*(1), 175-192. https://doi.org/10.1007/s40812-022-00249-7
Wibisono, Y. Y., Govindaraju, R., Irianto, D., & Sudirman, I. (2019). Managing differences, interaction, and partnership quality in global inter-firm relationships: An empirical analysis on offshore IT outsourcing. *International Journal of Managing Projects in Business*, *12*(3), 730–754. https://doi.org/10.1108/IJMPB-04-2018-0074
Wiener, M., Remus, U., Heumann, J., & Mähring, M. (2015). The effective promotion of informal control in information systems offshoring projects.

European Journal of Information Systems, *24*(6), 569–587. https://doi.org/10.1057/ejis.2014.16
Wijen, F. (2014). Means versus ends in opaque institutional fields: Trading off compliance and achievement in sustainability standard adoption. *Academy of Management Review*, *39*(3), 302-323. https://doi.org/10.5465/amr.2012.0218
Willcocks, L. P., & Lacity, M. C. (Eds.). (2014). *Advanced Outsourcing Practice: Rethinking ITO, BPO and Cloud Services* (1st ed. 2012 edition). Palgrave Macmillan.
Williamson, O. E. (1979). Transaction-Cost Economics: The Governance of Contractual Relations. *Journal of Law and Economics*, *22*(2), 233–261. https://doi.org/https://doi.org/10.1086/466942
Williamson, O. E. (1985). Assessing Contract. *Journal of Law, Economics, & Organization*, *1*(1), 177–208.
Williamson, O. E. (1996). Transaction cost economics and the Carnegie connection. *Journal of Economic Behavior & Organization*, *31*(2), 149–155. https://doi.org/10.1016/S0167-2681(96)00898-0
Winkler, J. K., Dibbern, J., & Heinzl, A. (2008). The impact of cultural differences in offshore outsourcing—Case study results from German–Indian application development projects. *Information Systems Frontiers*, *10*(2), 243–258. https://doi.org/10.1007/s10796-008-9068-5
Yin, R. K. (2013). *Case Study Research: Design and Methods* (Fifth edition). SAGE Publications, Inc.

Control Through Configuration

Global supply chains increasingly depend on cross-border arrangements through which firms relocate, outsource, or coordinate activities across organizational and national boundaries. However, the strategic promise of offshoring is not automatically realized, as many initiatives underdeliver relative to initial expectations. At the same time, global supply chains are increasingly subject to binding regulation that extends corporate accountability across supply chain tiers, marking a shift from voluntary corporate social responsibility initiatives toward enforceable legal obligations. This dissertation examines how management control systems, understood as packages of interrelated control mechanisms, are configured and, when required, reconfigured in global supply chains, with particular attention to offshoring performance and sustainability compliance. Drawing on four studies, it shows that offshoring performance is better understood through configurations of formal and informal controls and contextual factors such as trust, culture, and relationship continuity. It further shows that the operation of control arrangements involves recurring governance effort and that binding supply chain due diligence regulation reshapes management control to demonstrate sustainability compliance.

ISBN 978-91-7867-741-2 (print)

ISBN 978-91-7867-742-9 (pdf)

ISSN 1403-8099

DOCTORAL THESIS | Karlstad University Studies | 2026:42